

EAST AFRICAN CABLES PLC
ANNUAL REPORT AND FINANCIAL STATEMENTS
AT
31 DECEMBER 2023

EAST AFRICAN CABLES PLC

CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023**

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EAST AFRICAN CABLES PLC

CORPORATE INFORMATION

DIRECTORS

Dr. Michael Waweru
Paul Muigai
Peter Kanyago
Dennis Awori
Carole Kariuki
TransCentury PLC
Cable Holdings (Kenya) Limited
Julius Mwatu

Chairman
Chief Executive Officer and Managing Director

REGISTERED OFFICE & PRINCIPAL PLACE OF BUSINESS

East African Cables PLC
Industrial Area, Addis Ababa Road
PO Box 18243 - 00500
Nairobi

REGISTRARS

Custody & Registrar Services Limited
6th Floor, Bruce House, Standard Street
PO Box 8484 - 00100
Nairobi

SECRETARY

Virginia Ndunge
Certified Public Secretary (Kenya)
PO Box 18243 - 00500
Nairobi

AUDITOR

RSM Eastern Africa LLP
1st Floor, Pacis Centre, Slip Road, Westlands
PO Box 349 - 00606
Nairobi

ADVOCATES

Majanja Luseno Advocates
FCB Mirhab Building,
14th Floor, Lenana Road
PO Box 74580 - 00200
Nairobi

Muthaura Mugambi Ayugi & Njonjo Advocates
4th Floor, Capitol Hill Square
Upper Hill
PO Box 8418 - 00200
Nairobi

BANKERS

Equity Bank Kenya Limited
Lavington Supreme Centre
PO Box 75104 - 00200
Nairobi

SBM Bank Kenya Limited
Hurlingham Branch
PO Box 66049 - 00800
Nairobi

Sidian Bank Limited
K-Rep Centre, Kilimani
PO Box 25363 - 00603
Nairobi

Credit Bank Limited
Industrial Area Branch
PO Box 61064 - 00200
Nairobi

Ecobank Kenya Limited
Ushura Plaza
Muthangari Drive
PO Box 49584 - 00100
Nairobi

KCB Bank Kenya Limited
Industrial Area Branch
Enterprise Road
PO Box 18031 - 00500
Nairobi

EAST AFRICAN CABLES PLC

ABOUT US

East Africa Cables Plc (“the Group”) is a premier cable manufacturer in East and Central African region with three manufacturing facilities: two (2) in Nairobi and one (1) in Dar es Salaam, Tanzania. It is headquartered in Nairobi’s Industrial area and is listed in the Nairobi Securities Exchange. The Group has over 59 years’ experience making it the oldest and a pacesetter in cable manufacturing in the region.

The group supports the power eco-system from generation, transmission, distribution and last mile connectivity through provision of quality cables, conductors and related accessories.

Our products

The group has over the years invested in modern technology which has enabled it to offer safer, greener and high-quality electrical cables and conductors. Its diversified product range include Halogen free fire-retardant cables, Aerial bundled conductors and Cross-linked polyethylene (XLPE) insulated armoured cables in addition to the Polyvinyl Chloride (PVC) insulated cables and bare aluminium conductors. Aerial Bundled Conductors are revolutionary in sustaining our vegetation cover unlike the traditional bare conductors which require clearance of the vegetation along the service lines. The group provides vital support to power utilities, power infrastructure projects, industrial applications and domestic wiring including solar lighting. Other products include House Wiring copper cables, Flexible cables, Power and Control cables, Welding cables, submersible cables, Auto and Battery cables, Aluminium overhead conductors, and Super Enamelled Winding wire. The group adheres strictly to cable making standards to produce high quality cables.

We continue to respond to customer requirements and commit to continuously improve on our product offering, customer experience and be the supplier of choice for all cabling solutions.

Our diversified product range include: -

- a) House wiring cables;
- b) Flexible cables;
- c) Armoured (underground) cables;
- d) Power control cables;
- e) Auto and battery cables;
- f) Halogen free fire-retardant (HFFR) cables;
- g) Submersible cables;
- h) DC cables for data centres and solar lighting;
- i) Welding cables;
- j) Nose-bridge wire;
- k) Aerial bundled conductors (ABC);
- l) Cross-linked polyethylene (XLPE) insulated armoured cables;
- m) Bare / insulated and ACSR aluminium conductors;
- n) Data and telecommunication cables; and
- o) Electrical accessories.

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

Our products (Continued)

Industrial Process Control Cables

#WireSiWire

East African Cables
Connecting lives

Quality Matters
99.98%
Copper Purity

East African Cables
Made in Kenya

Electrical accessories

East African Lite
Switch to Quality

For Elegant & Excelsite appeal
our products are up to the task

Contact:

+254 (020) 6607000 0722 202 125 0721 555 544
east.african.lite
east.african.lite@outlook.com

Switch to Quality

East African Lite
Switch to Quality

+254 (020) 6607000 0722 202 125 0721 555 544

Miniature Circuit Breaker (MCB)

EAST AFRICAN CABLES PLC

ABOUT US (CONTINUED)

In January 2022, the Board and Management refreshed the business strategy to align with customer and changing market environment. The renewed mission, vision and core values are summarised below.

Our mission

- *Connecting lives to improve quality of life*

Electricity is life. In providing quality, safe, and affordable electrical solutions, we endeavour to deliver our products in a manner that will consistently satisfy the needs of our diverse consumers. We will ensure that our daily tasks and operations carry the spirit reflected in our renewed mission statement.

Our vision

- *To be the most innovative and trusted energy connectivity solution provider in the region*

The integrity and safety of electrical cables and solutions are paramount to our customers. We continue to innovate and domesticate solutions aimed at addressing market needs, and new applications. We promise to work with our consumers in providing solutions that they require.

Our core values

- *Care in all our interactions.*
- *Integrity in all our dealings with stakeholders.*
- *Pioneering and Innovative - Pride in what we do as we continuously pursue operational excellence.*
- *Freedom with responsibility and accountability in all we do. We will deliver on our promises.*

Our values are reflective of our character which makes us relevant and continue to grow, such as embracing new digital technologies and serving emerging markets. We will thus exist by the following core values which will be our uncompromisable rules of the game.

Rallying call

- *Our customer, my responsibility*

This is a statement that constantly reminds us of who we are, where we are heading to and how we want to get there. It will ensure that, individually and collectively we must work determinedly to provide the best and fulfilling service to our customers.

EAST AFRICAN CABLES PLC

CHAIRMAN'S STATEMENT

It is with great pleasure that I welcome you all to our 59th Annual General Meeting.

At East African Cables Plc, we uphold our core values, one of which is, *Care in all our interactions*. This applies to safety in our workplaces, safety of all our products and in our supply chains. We believe that when we care for our people, business partners, stakeholders and environment, we make the world a better place for all of us.

I also take this opportunity to inform you that our refreshed strategy, has started bearing fruits in form of market and customer needs alignment, efficiency improvement and this is evident in the growth recorded in this year's results. We continue to focus on becoming a better organisation to deliver more value to our stakeholders and the world at large.

Our business environment

Kenya's economic performance strengthened in 2023 despite continued challenges, with real GDP growth accelerating from 4.8% in 2022 to an estimated 5% in 2023. The rebound after Covid-19 crisis created an impetus in the construction sector thereby spurring demand for our products. The regional government's drive for universal electrification access, expanding middle class and need for quality life of the citizenry continues to spur demand in this region.

In our other regional markets, Tanzania's economic outlook shows that the economy has been resilient, growing by 5.2 percent in 2023, compared to 4.6 percent in 2022 while Uganda's GDP grew by 6.5 percent compared to 4.4 percent in 2022. Overall, the East African region is expected to continue growing at an average of above 5%. The entrant of Somalia and Democratic Republic of Congo into the regional trading block creates expanded market for our products through ease of trade and movement of goods into a wider block. Political stability in South Sudan and exports into other markets like Mozambique and Somalia is has also improved our revenues.

Continued volatility in metal prices and depreciation of KES against the USD has resulted to rise in prices of our products making them less affordable. High product prices also make genuine products less affordable and therefore creates avenues for sub-standard products to thrive. On this front, the business continues to partner with government agencies and Kenya Association of Manufacturers to crack down on illicit trade which not only denies the government vital tax revenue, but also endangers the lives of unsuspecting consumers who buy and install these substandard products.

Global logistics have been a major challenge arising from the unrest in Russia / Ukraine war and the middle east crisis. The business has put measures in its logistical plans to ensure that supply of key raw materials is not significantly affected.

Going concern

In the year under review, the Group and Company faced a major set-back when the primary lender appointed an Administrator due to overdue loan facilities. While the Company obtained temporary injunction, the matter is still in court. The group and company are focused on generating cashflows internally to improve performance, make the business financially sustainable and settle outstanding debt. To improve cashflows, the company is aggressively seeking to sell non-production assets as well the Tanzania Subsidiary to reduce outstanding bank borrowings.

The Company is also progressing discussions with other financiers to provide non-funded working lines to unlock idle capacity and improve performance. I take this opportunity to appreciate our lenders, suppliers and all other stakeholders for the support that they have accorded this business.

These measures together with what has been achieved to date are detailed in note 2(f), on pages 52 - 53 of these consolidated and separate financial statements.

Though a material uncertainty exists on the going concern of the business, these financial statements have been prepared on a going concern basis. In making this assessment, the Directors have considered a wide range of information relating to present and anticipated future conditions, including future projections of profitability, cashflows expected from sale of non-operating assets and availability of enhanced working capital to meet business requirements.

EAST AFRICAN CABLES PLC

CHAIRMAN'S STATEMENT (CONTINUED)

Financial performance

Despite the negative impact of the court Administration Order, Company revenue grew by 5% supported by increased market drive, new products, new market channels and individual home builders. Our cost containment measures anchored on Total Performance Management (TPM) programme continue to yield fruits in cost containment and delivering the right organisation culture of cohesive and high-performance team. However, low performance of our Tanzania subsidiary dampened the Group revenues to a decline of 3% compared to the previous year. Increased expenses owing to the legal costs, interest expenses and accruals for tax obligations in Tanzania impacted on EBITDA and Earnings Before Tax. The Group recorded net loss after tax of KShs 302 million (2022: KShs 345 million), an improvement of 13% compared to the previous year.

We remain focused on growing a strong order pipeline and improving contribution from the exports market. Great strides have been made in this area including product and market channel innovations to drive growth.

Our business is on the right path to recovery, and I am confident that as we implement our refreshed strategy, and with the support of all stakeholders, the business will become profitable and give return to shareholders in the medium term.

Dividend

The business is still in a turn-around phase thus need to conserve the positive cashflows generated internally to settle outstanding debt and fund operations. Consequently, the Board does not recommend payment of a dividend.

2024 outlook

Since 2019, the business has recorded consistent improvement in performance thereby growing revenue organically and reducing losses year on year. The traction gained is a result of a clear focus on growing order pipeline through concerted commercial activities, efficient and lean operations, product innovation and market diversification. The 5-year strategy, which is under implementation, aims to align the business with the customer, market and technology developments and we are therefore confident that with the increased demand of our products and the growing construction sector in the region, the business will achieve full profitability in the medium term.

We therefore look forward with optimism to achieving other milestones in our recovery journey.

Appreciation

I take this opportunity to express my sincere appreciation and gratitude to the Board, Management and staff for their commitment and dedication during the year, as well as to our strategic partners who continue to walk this journey with us.

Dr. MG Waweru FCCA, FCPA, CBS.
Chairman

Date: 26 April 2024

EAST AFRICAN CABLES PLC

BUSINESS REVIEW

Operating environment

The year under review was characterised by rising metal prices as well as weakening of the Kenya Shilling, impacting negatively on the cost of our primary raw materials and profit margins. Supply chain disruptions continue to persist due to Russia/Ukraine conflict and middle east crisis affecting sea freight. This has called for meticulous planning on raw materials logistics to avoid stock-outs. However, our strategies on new market channels, new product offerings and target to individual home builders has sustained our year-on-year growth.

Our major business risks are:

(a) *Volatility in prices of raw materials*

On average, Copper and aluminium raw material declined by 4% and 17% respectively in the year under review. Copper and aluminium raw material LME prices averaged USD 8,483 per MT and USD 2,215 per MT compared to USD 8,815 per MT and USD 2,707 per MT in the previous year. This volatility calls for critical planning and maintaining a delicate balance in inventory holding levels to mitigate risk especially should global metal prices drop suddenly.

(b) *Foreign currency risk*

Our primary raw materials are imported and therefore dollar denominated while our large proportion of revenue is in Kenya Shilling. Significant fluctuations in the local currency against the United States Dollar poses a risk to our business. In 2023, the KES closed at 156.46 compared to USD 123.37 at the beginning of the year, a depreciation of 27% making our raw materials more expensive. The depreciation of the KES against the USD has continued post year-end raising concerns on increasing costs of materials and subsequently finished goods. The business is striving to grow the export market while at the same time pricing high-value orders in USD to hedge against exchange fluctuations.

(c) *Illicit trade*

Infiltration of counterfeits and substandard products not only pose a risk to the consumers, but they also erode the value of a successful brand. The Group and Company have partnered with key stakeholders in the government to curtail this trade. We laud the multi-agency team for their support on this front.

Tanzania operations

Our Tanzania subsidiary has continued to struggle with low revenue due to constraints in working capital funding. In the year under review, it recorded revenue of KShs 202 million, an after-tax loss of KShs 196 million and closed the year with a net liability position of KShs 396 million. With fewer options of raising working capital required to resuscitate this business, the Board has decided to divest from this business. A potential buyer has been identified and a Share Purchase Agreement signed pending regulatory and stakeholder consents and approvals. The proceeds from this transaction will be utilised to reduce outstanding debt.

Employee wellness

People are the most important resources we have. Due to lifestyle changes and related illnesses, we have put great emphasis on work life balance to maintain a healthy workforce. Various programs are provided to staff including annual health checks, advice on stress management, cancer, and diabetes awareness, managing hypertension, counselling sessions and financial guidance workshops. We put great emphasis on staff overall wellness to ensure healthy workforce that is effective both at work and home. In the year, various workshops were held, and relevant reading materials distributed to staff.

EAST AFRICAN CABLES PLC

BUSINESS REVIEW (CONTINUED)

Operational excellence

We remain focused on ensuring timely delivery of our quality products to our customers. The Group has anchored its process improvement on Total Performance Management (TPM) program. TPM is a set of toolkit to put in place and sustain high performance in the work area. It aims, through people, to eliminate loss and waste for performance improvement. Continued and scheduled trainings have resulted to significant improvement in operations through waste and loss eliminations, machine efficiency, safety, team cohesion among others. Efficiency improvement has substantially addressed power losses, scrap and other forms of waste and losses which are a cost and also detrimental to our environment.

Supporting the youth

On job creation, the company operates an internship program which allows the youth to acquire hands-on experience. These programs offer college students practical experience in engineering, procurement, finance, stores management and human resource management preparing them for their future careers and providing them with an opportunity to experiment their ideas for the betterment of the society.

The group and company continue to support the *fundi club* which comprise of EPRA (Energy and Petroleum Regulatory Authority) accredited electricians. We value the importance of having well rounded partners to not only provide key technical advice to our customers, but also to run profitable businesses.

In line with the Government's quest to create an enabling environment to the youth and special groups including women and people with disability, the company supports these groups to participate in tenders for local utilities and government institutions.

Impacting communities

Despite the challenges facing the business, we have remained a responsible citizen and contributed proportionately to improve the communities we live in. During the year, the company supported By-Grace Children's home of Kayole in provision of foodstuffs and other requirements.

The company has also partnered with Kenya Forestry Research Institute (KEFRI) and Centre for Character Development to make our country greener by donating and planting over 12,000 tree seedlings in our local communities.

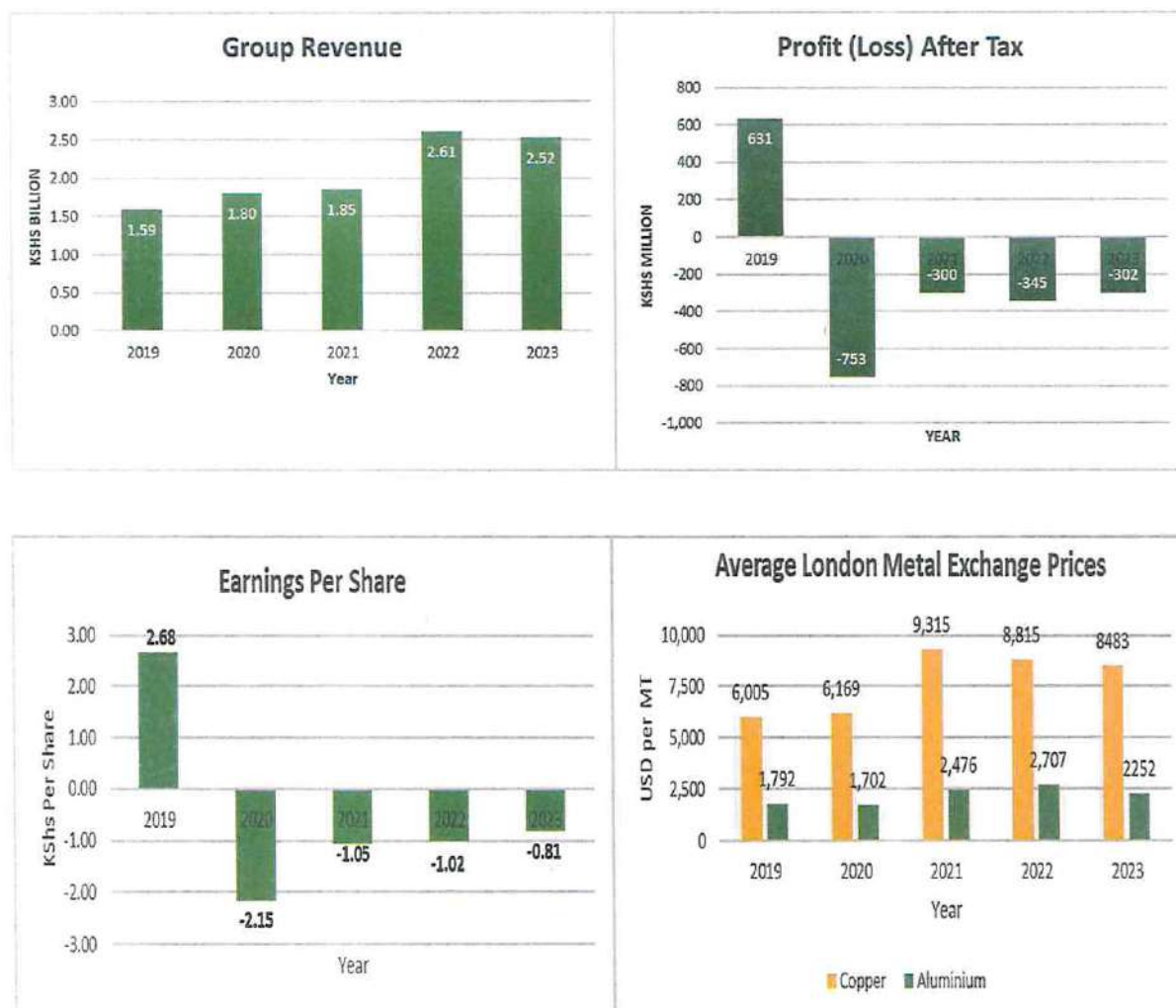
Business performance

In the year under review, the Company recorded a 5% increase in revenue (supported by new products, new market channels and individual home builders, while the Group recorded a 3% decrease in revenue impacted by low performance of the Tanzania subsidiary. We continue to focus on product innovation, value-added products, and cost management through implementation of Total Performance Management (TPM) to sustain the growth momentum.

Group performance after tax improved by 13% compared to the previous year despite adverse impact of increased expenses for legal matters and accruals for tax liabilities in Tanzania. The Group recorded a loss after tax of KShs 301.88 million compared to KShs 345.27 million in the previous year. Company's overall results were impacted by one-off impairment of the investment in Tanzania Subsidiary thereby recording a loss of KShs 549.40 million compared to a loss of KShs 167.69 million in the previous year.

EAST AFRICAN CABLES PLC

FIVE-YEAR COMPARATIVE GROUP RESULTS



Outlook for 2024

Our business remains resilient, and the board and management have no doubt that continued implementation of the turn-around measures will yield positive results. Despite fluctuations in metal prices and depreciation of local currency making electrical cables more expensive, construction sector in the region continue to expand creating more opportunities for our business. Innovation in new products and new market channels have created a new impetus on revenue generation despite low offtake of aluminium products by regional utilities. The business has embarked on revenue generation activities and is confident to sustain the growth trajectory.

EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT

The group and company, as a responsible corporate has made commitment to implement universal sustainability development goals and to make the world a better place for all. This is done through alignment of strategies and operations with universal principals on human rights, labour, environment, and anti-corruption, and take actions that advance societal development.

East African Cables Plc has committed to 9 of the 17 SDGs. These goals are highlighted below including how the group is working to achieve them.



Goal 1. End poverty in all its forms everywhere

Despite minimal impact to the global problem, the Group has committed to do what it can to help needy communities. To this end, the company adopted By-Grace Children's Home in Kayole, Nairobi where it provides foodstuffs and other basic needs every month. This home does not have any source of income, yet it has taken up a critical role of providing food, shelter, and education to vulnerable children in our community.

Goal 2. End hunger, achieve food security and improved nutrition and promote sustainable agriculture

The company has developed submersible cables for use in irrigation to boost food production and DC cables used in solar lighting. These products go a long way in securing sustainable food production even in arid and semi-arid areas.

EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)

Goal 3. Ensure healthy lives and promote well-being for all at all ages

Care in all our interactions is one of our core values. The management has put in place a committee whose mandate is to assess potential incidences related to safety, making recommendations on how such risks can be mitigated and ensuring implementation of those recommendations. We believe that everyone possesses a fundamental human right to safety and it is our duty to respect and foster that right.

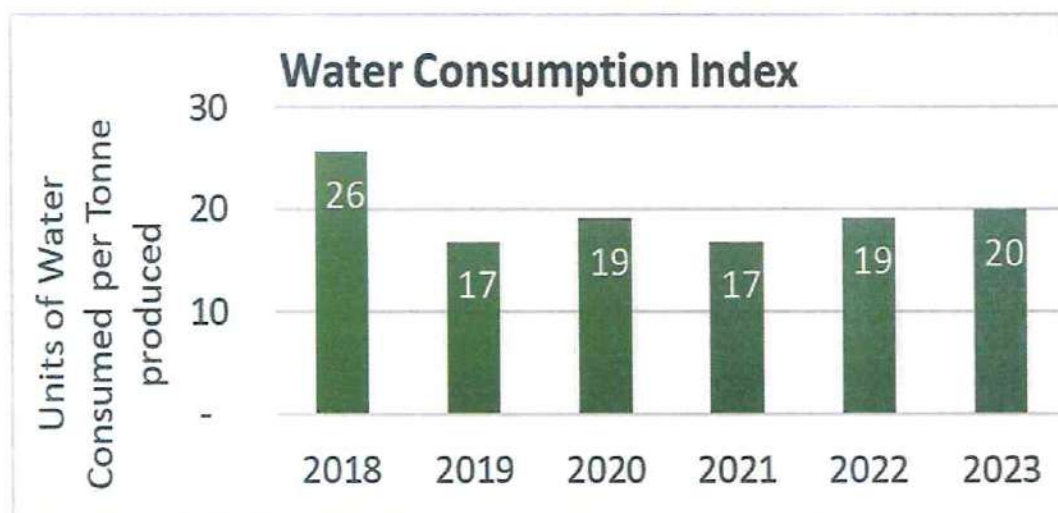
Risk-conscious working behaviour is emphasized and recognised. Based on our corporate values, leaders serve as safety role models for our employees. Safety briefings are conducted in all management meetings to make our operations safer and to sustain the culture of taking care of one another. All our employees and visitors to our factories are also equipped with proper protective gear.

The company also takes extreme caution in disposal of waste generated from its production process. Disposal of effluents is undertaken by certified handlers to avoid water and soil pollution which may be hazardous to humans and environment.

Goal 6. Ensure availability and sustainable management of water and sanitation for all

Our manufacturing operations have been improved to reduce the amount of water consumed during production of cables. This water is used in cooling extruded insulation and sheathing material. The company has invested in rainwater harvesting and uses a closed-circuit cooling system with no spillage and minimal evaporation. The company has also installed a purification system for water consumed by staff within the facilities to minimise use of bottled water which are a major source of plastic pollution.

Our measure of water consumption is cubic meters used per tonne of production. We aim to reduce consumption of water as we increase production tonnage. Below is a four-year trend.



Goal 7. Ensure access to affordable, reliable, sustainable, and modern energy for all

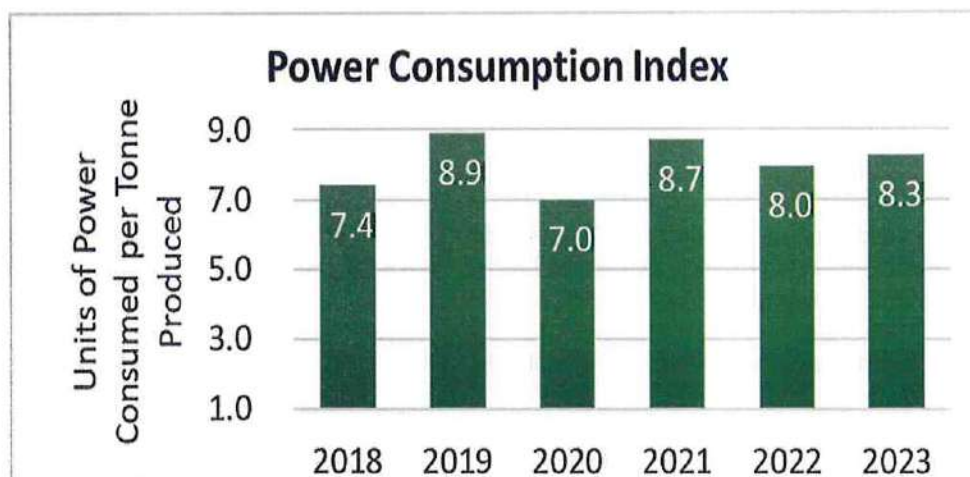
The company actively participates in the supply of cables to regional government utilities in support of electrification. Recent innovations by the company include Aerial Bundled Conductors (ABC) which are more efficient in power distribution, Halogen Free Fire-Retardant Cables for use in high density buildings, Solar lighting cables for harnessing renewable energy and Submersible Cables for irrigation and horticulture management.

EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)

Goal 7. Ensure access to affordable, reliable, sustainable, and modern energy for all (Continued)

Our machinery run on national grid-power, and this contributes to a significant portion of our factory overheads. The company has integrated Total Performance Management (TPM) in its operations and strives to continually maintain power consumption within industry average. Below is our trend for the last four years.



Goal 8. Promote sustained, inclusive, and sustainable economic growth, and decent work for all

The company protects labor rights and promotes safe and secure working environments for all workers and complies with governing labour laws. Unionisable workers have freedom of association and collective bargaining through their union. The company ensures personal safety of employees at the workplace as evidenced by zero fatal or serious injuries and only two minor injuries per year over the last three years.

The company maintains active continuous education program for employees, including collaborating with external parties to embrace safety in all areas of our operations. Some of the trainings undertaken in the year include mental health training; occupational health and safety; leadership programs; cyber security awareness programs; sexual harassment awareness; safety, health and environment program; strategy formulation and execution program.

On job creation, the company operates an internship program which allows the youth to acquire hands-on experience in the areas of their profession. These programs aim to offer college students practical experience in engineering, procurement, finance, stores management and human resource management preparing them for their future careers and providing them with an opportunity to experiment their ideas for the betterment of the society.

The group and company continue to support the *fundi club* which comprise of EPRA (Energy & Petroleum Regulatory Authority) accredited electricians. We value the importance of having well rounded partners to not only provide key technical advice to our customers, but also to run profitable businesses.

In line with the Government's quest to create an enabling environment to the youth and special groups including women and people with disability, the company supports these groups to participate in tenders for local utilities and government institutions.

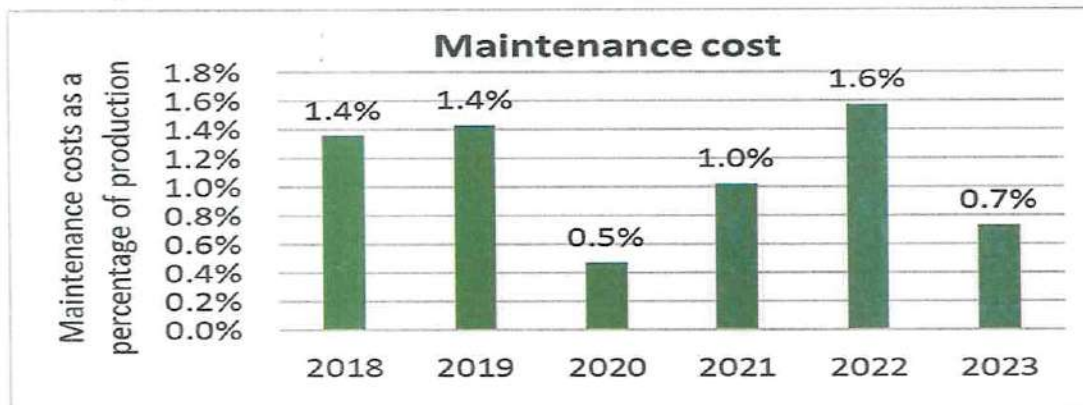
EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)

Goal 9. Build resilient infrastructure, promote inclusive and sustainable industrialization and foster innovation

To promote sustainability in our operations, the group and company embraced Total Performance Management (TPM). TPM is a set of toolkits to put in place and sustain high performance in the work area. It aims, through people, to eliminate loss and waste and to improve performance. Continued and scheduled trainings have resulted to significant improvement in operations through waste and loss eliminations, machine efficiency, safety, team cohesion, among others. Efficiency improvement has significantly addressed power losses, scrap and other wastes which are detrimental to our environment.

These activities have contributed to lower costs of operations like power usage, water consumption (as shown above) among other costs. One such cost is maintenance of our equipment which is measured is per tonnage produced.



Goal 12. Ensure sustainable consumption and production patterns

One of the pillars of this goal is sustainable use of natural resources. By substantially reducing waste generation through, reduction, recycling and reuse of raw material and wooden drums the group and company has maintained average scrap produced to global benchmarks. The group and company also commissioned usage of metal drums / bobbins in its production processes to reduce the usage of wooden drums thereby conserving trees and forests.

In partnership with Kenya Forest Service (KEFRI) and Centre for Character Development, the company developed a tree nursery in its premises and over the last three years, it has donated and helped to plant over 12,000 seedlings. The tree nursery is a staff initiative towards combating global warming and replenishing the trees used in the company operations.



EAST AFRICAN CABLES PLC

SUSTAINABILITY REPORT (CONTINUED)



The group and company have also been on the forefront in campaign to utility companies to adopt Aerial Bundled Conductors in power distribution. The conductors can be used in forested areas thereby conserving vegetation which would otherwise be cleared to pave way for conventional power lines.

Goal 17. Strengthen the means of implementation and revitalize the Global Partnership for Sustainable Development

East African Cables Plc has a manufacturing plant in one other East African country and works closely with partners to establish presence in the other Eastern African Countries. We share human capital to develop expertise in areas such as production, market development and organizational management.

EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS

Dr. Michael G. Waweru, FCCA, FCPA, CBS – Chairman (73)

Non-Executive Director

Kenyan

M.G. Waweru is a graduate of the University of Nairobi where he attained his Bachelor of Commerce Honours Degree. He also holds an MBA degree from the Strathmore Business School. He is a Fellow of the Association of Chartered Certified Accountants (FCCA), Institute of Certified Public Accountants of Kenya (FCPA) and a member of the Institute of Directors. An accountant by profession, Mr Waweru was Managing Partner of Ernst & Young East Africa until 2002. In March 2003, he was appointed to the position of Commissioner General, Kenya Revenue Authority, where he served for 9 years up to February 2012. During the period 2003 to 2006, Mr Waweru was President of the Commonwealth Association of Tax Administrators (CATA), which brings together Revenue Administrations in the Commonwealth. He has also served as Chairman of Institute of Certified Public Accountants of Kenya (ICPAK) and is currently the Chairman of KCA University Board of Trustees. His contribution to the nation has been recognized by His Excellency the President of the Republic of Kenya by being awarded the Chief of the order of the Burning Spear (CBS).

Paul Muigai

Managing Director/ Chief Executive Officer (58)

Kenyan

Paul is a seasoned leader with a wealth of experience in Supply Chain management, having held various roles across the Supply Chain in Unilever, including production management, procurement, Operations Planning, Engineering and productivity improvement at various levels up to Supply Chain Director Level. He also held Asia-Africa and Africa & Middle East Regional expatriate roles in the areas of Supply Chain optimization and Safety, Health and Eco-efficiency, based in Singapore and Dubai respectively. Paul is a graduate of University of Nairobi and holds a Bachelor of Science degree in Mechanical engineering.

Nganga Njiinu, CFA – CEO, Transcentury (46)

Representing Transcentury PLC

Non-Executive Director

Kenyan

Nganga Njiinu is the Group Chief Executive Officer of TransCentury Plc and has over 21 years' experience in investments, strategy implementation and operations. Since joining TransCentury Group in 2008 Njiinu has held various leadership roles in corporate finance, portfolio management, business development as well as originating and developing opportunities in the infrastructure space. In addition, Njiinu has had deep experience in developing infrastructure projects in the areas of mining, energy, rail, and roads. Since taking up the CEO role in 2016, Njiinu has led the Group through an extensive restructure that has led to reduction of debt by USD 55 million, in addition to a Groupwide organisation redesign reflecting Group's strategic direction. Under his leadership, the Group has attracted over USD 50 million of additional funds into the business and successfully exited infrastructure projects and portfolio investments.

Prior to joining TransCentury, Njiinu worked for Coldwell Banker Residential Brokerage in the USA for 7 years, where he oversaw strategic initiatives, financial planning, and analysis as well as evaluation and integration of acquisitions.

Njiinu holds an MBA in Finance and Investment Management from the University of Dallas in Irving, Texas and a Bachelor of Science in International Business from United States International University, he is also a CFA charter holder.

EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS (CONTINUED)

FCPA JULIUS MWATU (52)

Independent Non-Executive Director

Kenyan

FCPA Julius Mwatu is a Fellow of the Institute of Certified Public Accountants of Kenya (ICPAK) and former Chairman of ICPAK. He is also a member of the Institute of Certified Secretaries (ICS) and a Member of the Institute of Certified Investment & Financial Analysts (ICIFA). During his tenure at ICPAK, he was also a Council member of the International Federation of Accountants (IFAC) and a board member of the Pan-African Federation of Accountants (PAFA).

Julius sits in various boards and has vast board experience both locally and internationally, gained from the private sector, public sector, not-for-profit and donor funded agencies.

FCPA Mwatu is the Managing Partner at CPJ & Associates (CPA-K) and has extensive experience in the accountancy profession spanning over 20 years specialising in audit, tax, integrated reporting, and governance. He previously worked as an auditor and tax advisor with PKF (EA), Ernst & Young, and KPMG Kenya. Julius was also a Chief Finance Officer at Indigo Telecoms for over 10 years.

FCPA Mwatu holds a Bachelor of Science Degree in Statistics from Egerton University and a Masters Degree in Business Administration (Finance) from the United States International University (USIU) Africa.

Peter Kanyago, FCCA, FCPA, EBS (76)

Non-Executive Director

Kenyan

Mr. Kanyago is a fellow of the Institute of Certified Public Accountants of Kenya and holds an MBA in Industrial Management. As an entrepreneur, he holds directorships in companies he has built, including Pekan Limited and East African Elevator Company (ThyssenKrupp). He is also the Chairman of Geopet Investments Limited, Kenya Open Golf Limited and Winguards Services Limited. His contribution to the nation has been recognized in his being awarded the Moran of the order of the Burning Spear (MBS) and Elder of the order of the Burning Spear (EBS) of the Republic of Kenya. He is also a fellow of Kenya Institute of Management (KIM).

Amb. Dennis Awori (69)

Independent Non-Executive Director

Kenyan

Amb. Dennis Awori earned his BSC with Honors degree in Aeronautical Engineering from the University of Manchester in 1977. He has spent most of his working life in the Motor Industry across East Africa, in which he has held various positions including Sales and Marketing Manager, Branch Manager, General Manager, Managing Director and Chairman. He was appointed the Ambassador of the Republic of Kenya to Japan and Korea from 2003 to 2009 and during his tenure he spearheaded the establishment of the Kenyan Embassy in Korea, as well as built strong relations between Kenya and the two countries. He currently sits in various boards including CFAO Kenya Limited (a wholly owned subsidiary of Toyota Tsusho Corporation) and Toyota Kenya Limited where he is the Chairman and Bank of Africa. Amb. Awori is a keen sportsman and has been Chairman of both the Kenya Rugby Football Union and the Uganda Rugby Football Union in consecutive terms between 1990 and 1997.

EAST AFRICAN CABLES PLC

BOARD OF DIRECTORS (CONTINUED)

Wanjuki Muchemi CBS, FCI, Arb (72)
Representing Cable Holdings (Kenya) Limited
Non-Executive Director
Kenyan

Mr. Muchemi is a senior legal practitioner with a wealth of experience in International Commercial Law, Arbitration, Alternative Dispute Resolution, Multilateral and Bilateral Finance negotiations. He is currently serving as a non- Executive Director in the Boards of several listed and private companies including Trans-Century PLC., Cable Holdings (Kenya) Limited, Energy and Petroleum Regulatory Authority (EPRA), Sonar Imaging Centre Limited, Kenya Diabetes Management and Information (KDMI) Centre and Mount Kenya Academy Schools Limited.

Previously, Mr. Muchemi served in the Public Service as the Solicitor-General of the Republic of Kenya and as the Principal Assistant to the Attorney-General for ten (10) years from 2003 to 2013. During his tenure, he was awarded the Chief of the Order of the Burning Spear (CBS) (First Class) by His Excellency, President Mwai Kibaki, for his dedicated service. In addition, he also served as a Director in several State Corporations including Kenya Revenue Authority (KRA), Kenya Pipeline Company (KPC), Salaries and Remuneration Commission (SRC), Kenya National Audit Office (KENAO), Kenya Ports Authority (KPA), as well as at the Centre for Corporate Governance where he served for 10 years.

He holds a Master of Business Administration (MBA) degree in Strategic Management and a Bachelor of Laws (LL.B. Hons.) degree from the University of Nairobi. He is an Advocate of the High Court of Kenya, Fellow of The Chartered Institute of Arbitrators, London, U.K. (FCI Arb.), Member of The Institute of Certified Public Secretaries of Kenya (CPS (K)), and The Law Society of Kenya. He has taken part in many Strategic Management and Professional courses in topical and current practices.

Carole Kariuki, EBS (49)
Independent Non-Executive Director
Kenyan

Carole is the Chief Executive Officer of Kenya Private Sector Alliance (KEPSA), an organisation she has helped steer to become the apex of the private sector in Kenya. She has a wealth of experience in leadership having worked for Sagamore Institute for Public Policy Research where she was the liaison between KEPSA and the institute before joining KEPSA. She currently serves in several boards including LPC Global Logistics Kenya where she is the Board Chairperson, Jubilee Health Insurance Limited, ISUI-Africa Trustees, UN Global Compact Network, National Council of Administrative Justice and WTO Trade Committee among others.

In her line of duty, Carole has been recognised with several awards for her leadership role in the development of the Private Sector in Kenya. The government has recognised her contributions by awarding her The Elder of the Order of the Burning Spear (EBS) in 2021, The Moran of the Order of Burning Spear (MBS) in 2012 and The Head of State's Commendation (HSC) in 2011.

She holds a Bachelor of Arts Degree in Economics and Sociology from the University of Nairobi and a Master's Degree in Public Administration and International Affairs from Bowling Green State University, Ohio USA. She has also pursued several professional courses on Stakeholder management, Leadership and Private Sector development among others.

Virginia Ndunge (54)
Company Secretary
Kenyan

Virginia Ndunge is a Certified Public Secretary and a member of the Institute of the Certified Public Secretaries of Kenya (ICPSK). She holds a Bachelor of Commerce degree in Finance and Diploma in Project Management. She is also an accredited governance auditor. She has substantial experience in Company Secretarial services having worked with Emu Registrars, Certified Public Secretaries, for over 13 years, and Kaplan and Stratton Advocates for six years as the head of their Company Secretarial Division. She is currently the lead consultant at Virgyways Consultants, providing company secretarial and governance audit services.

EAST AFRICAN CABLES PLC

MANAGEMENT TEAM

Paul Muigai – Chief Executive Officer

Paul is a seasoned leader with a wealth of experience in Supply Chain management, having held various roles across the Supply Chain in Unilever Plc, including production management, procurement, operations planning, engineering and productivity improvement at various levels up to Supply Chain Director Level. He also held Asia-Africa and Africa & Middle East Regional expatriate roles in the areas of Supply Chain optimization and Safety, Health and Eco-efficiency, based in Singapore and Dubai respectively. Paul is a graduate of University of Nairobi and holds a Bachelor of Science degree in Mechanical engineering.

Dr. Gerald G. Gitau – Commercial Manager

Dr. Gitau has over 20 years' experience in Sales & Marketing, Project Management and System implementations. Previously, he has worked for The Coca-Cola Company (Nairobi Bottlers) as a Marketer and a Sales Manager and Texaco (Caltex) as a Customer Care Coach.

He holds a PhD from the University of Nairobi, a master's degree in project planning and management and a Bachelor of Business Administration degree in Marketing and in Information Science. He is a Licentiate Member of the Institute of Management of Information System (IMIS-UK) with numerous certifications in Business Management specializing in Sales and Marketing.

Joseph Kamau – Group Production Manager

Joseph is a Mechanical Engineering graduate from the University of Nairobi. He joined East African Cables (Tz) Limited in 2009 as Production Manager where he worked for seven years before being transferred to East African Cables (Kenya) in 2016. He has also worked in similar manufacturing and engineering roles in other companies namely Sameer Africa Limited, Lonrho Motors (EA) Ltd and Ministry of Lands and Settlement, for over ten years.

Joseph Kinyua – Group Finance Manager

Joseph is a Certified Public Accountant and a member of the ICPAK. He holds a Master of Business Administration from the University of Nairobi and has over 24 years' experience in Audit, Accountancy and Financial Management. He joined East African Cables in 2007.

Esther Lulonde – Human Resources and Administration Manager

Esther joined the East African Cables Plc in 2020. With over 14 years of experience in Human Resources and Administration cutting across Manufacturing, Hospitality and Real Estate Industries, she has been instrumental in formulation and implementation of strategy, policies, procedures, and management of organizational performance. Very keen on employee

development, she has designed development programs that have seen companies get real value of succession planning, talent management and employee retention. Esther is adept in Human Resources and administration compliance, corporate governance, Compensation and Benefits, Industrial Relations management, employee relations management and organization design.

Esther has a Bachelor of Arts in Sociology from Kenyatta University, diploma in Human Resource Management and is a member of the Institute of Human Resource Management.

Winnie Mbau – Quality Assurance Manager

Winnie holds a Bachelor of Science in Electrical and Electronics Engineering from Kenyatta University. She is a certified ISO 9001 Quality Management Systems lead auditor and has a Certificate in Energy Management (EMiT) from Association of Energy Engineers, Certificate in Programmable Logic Controllers (PLC), Variable Speed Drives (VSD/VFD), Supervisory Control and Data Acquisition (SCADA) and Distributed Control systems (DCS).

She has vast experience in Project Management, Technical Sales, among others.

She joined East African Cables as a Key Account Manager in the commercial department before her appointment as Quality Assurance Manager in 2019.

Joyce Mbugua – Procurement Manager

Joyce has over 14 years of management experience in Procurement and Logistics management in international purchasing, sourcing of materials and outbound logistics. She holds a Master of Science in Procurement and Logistics from Jomo Kenyatta University, a Bachelor's degree in Business Administration & Marketing from Kenya Methodist University and a diploma in Purchasing & Supplies Management from the Kenya Institute of Management. Joyce serves on the Logistics and Advocacy Committee for the Shippers Council of Eastern Africa and is a member of the Kenya Institute of Supplies Management.

Geoffrey Odhiambo - General Manager, EAC Tanzania

A Chemistry graduate of Kenya Polytechnic (Technical University of Kenya), he also holds an advanced certificate in marketing management from the Kenya Institute of Management. He has over 20 years' experience in Technical Sales & Service, Marketing and market development, Customer development and Sales management. Prior to joining EACTz, he was MPC Technical Sales Manager, East Africa, for Akzo Nobel / Sadolin Paints, based in Tanzania.

EAST AFRICAN CABLES PLC

GOVERNANCE AUDIT

The Code of Corporate Governance Practices for Issuers of Securities in Kenya, 2015 (“the Code”), sets out the principles and specific recommendations on structures and processes, which companies should adopt in making good Corporate Governance an integral part of their business dealings and culture. The Code further specifically requires listed companies to engage the services of an independent and accredited Governance Auditor to establish the extent to which the Board and the Company have applied Corporate Governance principles.

The scope of the Audit is derived from the Code, the Companies Act, 2015 and the Governance Audit Tool developed by the ICS. More specifically, the Audit covers the following broad areas;

1. Leadership and strategic management;
2. Transparency and disclosure;
3. Compliance with laws and regulations;
4. Communication with stakeholders;
5. Board independence and governance;
6. Board systems and procedures;
7. Consistent shareholder and stakeholders’ value enhancement; and
8. Corporate social responsibility and investment.

The Annual Governance Audit is conducted by a competent and recognized professional accredited for that purpose by the Institute of Certified Secretaries (ICS).

In line with Capital Markets Authority guidelines on corporate governance, the company conducts governance audits every two years. Having undertaken this audit in the year ended 2022, the next audit shall be conducted in 2024.

LEGAL AND COMPLIANCE AUDIT

In compliance with the provisions of the Corporate Governance Code for Issuers of Securities to the Public, 2015, East African Cables PLC (“the Company” or “EAC”), a publicly listed entity on the Nairobi Securities Exchange, and regulated under the Capital Markets Act by the Capital Markets Authority undertakes a legal and compliance audit every two years and prescribed by the regulatory authorities.

The objective of this audit is to enhance good corporate governance practices within the business as well as to ascertain the Company’s level of compliance with applicable laws, regulations, and standards. The audit is also aimed at identifying the gaps and areas that require review in order to enhance compliance and efficiency and reduce chances of adverse legal action against the business arising as a consequence of non-compliance or gaps within the company’s operations.

The Company’s Board is responsible for the establishment of internal procedures and monitoring systems to promote compliance with applicable laws, regulations and standards. The Board is also responsible for ensuring that the compliance strategy is aligned to the operations of the Company.

Legal and compliance audit is based on Clause 2.10.3 of the Code of Corporate Governance to Issuers of Securities to the Public, 2015. The code requires public companies to carry out independent legal and compliance audit bi-annually. Having undertaken this audit in the year ended 2022, the next audit shall be conducted in 2024.

The Board and management wish to report that the recommendations of the previous year’s audit are under implementation. It is projected that these will be fully implemented by the time of the next audit.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT

The Board of East African Cables PLC recognizes the importance of corporate governance and as such it carries out its mandate with honesty, openness and integrity and is committed to applying and enforcing relevant corporate governance principles, policies and practices within the Group. The board is committed to the principles of accountability, compliance with the law and to the provision of relevant and meaningful reporting to all stakeholders.

The Company has endeavoured to adhere to its obligations as a public listed entity in Kenya in compliance with the Capital Markets Authority (CMA) Code of Corporate Governance practices for Issuers of Securities to the Public 2015. The company also adheres to other regulations promulgated by the CMA, Nairobi Securities Exchange, the Constitution of Kenya and all other laws as a law-abiding citizen.

The Role of the Board of Directors

The Board is committed to ensuring that a strong governance framework operates throughout the Company, recognizing that good corporate governance is a vital component to support management in their delivery of the Company's strategic objectives, and to operate a sustainable business for the benefit of all stakeholders. The Board recognizes that the process of identifying, developing, and maintaining high standards of corporate governance suitable for the Company is ongoing and dynamic to reflect changes in the Company and its business, the composition of the Board and developments in corporate governance.

The primary role of the Board is to guide the company towards sustainable long-term success through the exercise of objective and informed judgement in determining the strategy of the company, having the best team in place to execute that strategy, monitoring business performance and maintaining an effective framework of controls to mitigate risks facing the business.

The Board ensures that Management achieves the right balance between promoting long-term growth and delivering short-term objectives. The existing corporate governance framework embeds the right culture, values and behaviours throughout the Group and supports the Board's role in determining strategic objectives and policies.

The role of the Chairman and Chief Executive Officer are separate and established with clear division of responsibilities and delegated authority.

The Board Chairman provides leadership to the Board in ensuring the directors' focus in providing oversight and clear vision to the Group and Company, enhancing shareholder value, ensuring stakeholders engagement, ensuring effective operations of the Board, establishing the Board agenda for Board meetings, and making certain that the Board has all the necessary information for effective decision making. The Board Chairman is also charged with the responsibility of ensuring that the Board is well established in line with the pre-requisite skills, knowledge, and experience. Acting as a spokesman, the Board Chairman communicates and consults with shareholders and relevant stakeholders on significant issues, as appropriate. It is the role of the Board Chairman to ensure effectiveness and development of the Board and individual directors to enable them to discharge their duties effectively.

The Chief Executive Officer ("CEO") is responsible for the day-to-day management of the business of the Company and to oversee the implementation of strategy and policies approved by the Board and serving as the official spokesperson for the Company. He/she is charged with the responsibility of preparing and monitoring business plans, directing and controlling the work and resources of the Group and Company, ensuring recruitment and retention of the required numbers and types of well-motivated, trained and developed staff to ensure the Group and Company meets its vision, mission and objectives. He/she also provides coherent leadership of the Company, including representing the Company to customers, suppliers, governments, shareholders, financial institutions, employees, the media, the community and the public and enhances the Company's reputation among many other roles which are well captured in his Job Description.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

The Role of the Board of Directors (continued)

The Company Secretary is a member in good standing with the Institute of Certified Secretaries (ICS). The Company Secretary provides a central source of guidance and advice to the Board on matters of governance, statutory compliance, and compliance with the regulators; Providing the Board and the Directors individually with guidance on how their responsibilities should be discharged in the best interests of the Company; Facilitating the induction training of new Directors and assisting with the Directors' professional development as required. This includes identifying and facilitating continuous Board education among other roles as provided in the Job Description. The Secretary is also charged with the responsibility of co-ordinating all Board and Board Committee meetings, ensuring that they are properly organized and conducted and implemented in compliance the Company's Memorandum and Articles of Association and its statutory obligations.

The Role of Non-Executive Directors

The Board had seven (7) Non-Executive Directors as at 31 December 2023 and as at the date of this Annual Report. The Non-Executive Directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business. The Non-Executive Directors help develop strategy and are responsible for ensuring that the business strategies proposed are fully discussed and critically reviewed. This enables the Directors to promote the success of the Company for the benefit of its shareholders, with consideration of, among other matters, the interests of employees, the fostering of business relationships with customers, suppliers, and other stakeholders. The Non-Executive Directors oversee the operational performance of the business, scrutinize performance of Management and the Company, bring an external perspective to the Board, monitor reporting of performance and should be available to meet with major stakeholders as appropriate.

Board Composition

The Board is comprised of seven (7) Non-Executive Directors including the Chairman, and one (1) Executive Director. Out of the seven Non-Executive Directors, three are independent. The directors' biographies appear on pages 16 to 18. All non-executive directors are independent of management and have diverse skills, experience, and competencies appropriate for effective management of the company's business.

The Non-Executive Directors are subject to periodic re-appointment in accordance with company's Articles of Association which requires that one third of the longest serving directors (since their last election) retire by rotation every year and if eligible their names are submitted for re-election at the Annual General Meeting.

An age limit of seventy (70) years is recommended for directors serving in the Board. However, the Board can recommend for re-election, a director who is above this age based on his/her expertise and competencies. Such a director is required to retire at every Annual General Meeting for re-election.

The Board is responsible for recommending Non-Executive Directors for election by shareholders at the Annual General Meeting. Nominated directors undergo a formal screening process conducted by the Governance and Nominations Committee of the Board before they are formally appointed. Between Annual General Meetings, the Board may appoint directors to serve until the next AGM. Any such appointment of Non-Executive Directors must be ratified by the shareholders at the next AGM following their appointment.

Each Non-Executive Director serves the Board for a term of three years which is renewable. In accordance with the company's Articles of Association, non-executive directors are subject to periodic re-appointment. However, one-third of the Non-Executive Directors are required to resign at each AGM and may offer themselves for re-appointment to continue serving the Board.

No director is entitled to any compensation upon the termination or end of their tenure as a member of the board.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Board Composition (Continued)

The composition of the Board is provided in the table below:

	Board Member	Age	Status	Date of Appointment	Date of retirement
1.	Michael G. Waweru	73	NED	6 th Aug 2012	To retire by rotation - Reappointment by a special notice in 2024 AGM (Over 70 yrs.)
2.	Peter Kanyago	76	NED	12 th Mar 2004	To retire by rotation - Reappointment by a special notice in 2024 AGM (Over 70 yrs.)
3.	TransCentury PLC represented by Nganga Njiinu	46	NED	12 th Mar 2004	To retire by rotation in 2024 AGM
4.	Cable Holdings (K) Limited represented by Wanjuki Muchemi	72	NED	28 th Aug 2018	To retire by rotation - Reappointment by a special notice in 2024 AGM (Over 70 yrs.)
5.	Amb. Denis Awori	69	INED	1 st Jul 2013	To retire by rotation in 2024 AGM
6.	Julius Mwatu	52	INED	24 th Nov 2020	To be re-appointed in 2026 AGM
7.	Carole Kariuki	49	INED	15 th Mar 2019	To retire by rotation in 2025 AGM

**NED: Non-Executive Director*

**INED: Independent, Non-Executive Director*

The Governance and Nominations Committee of the Board is responsible for developing and administering the Non-Executive Directors' policy.

Board Operations

The Board meets at least four times a year and the meetings are structured in a way that allows for open discussions. Comprehensive Board papers are prepared and circulated to all Directors for all substantive agenda items prior to the meeting allowing time for the Directors to undertake an appropriate review of the Board papers to facilitate effective discussions at the meetings. The submissions and notification period may be waived when urgent and critical matters arise. The Management Team may be invited to attend the Board and/or Committee meetings if deemed necessary and as appropriate, to make presentations on their areas of responsibility to give the Directors greater insights into their business areas.

The board is solely responsible for its agenda. However, it is the responsibility of the Chairman and the Company Secretary, working closely with the Chief Executive Officer, to come up with the annual Board work plan and an agenda for the board meetings.

Except for the direction and guidance on general policy, the board has delegated authority for conduct of day-to-day business to the Managing Director / Chief Executive Officer. The Board nonetheless retains responsibility in maintaining the company's overall internal control on financial, operational and compliance issues.

The senior leadership team members may be invited to attend the board meetings if deemed necessary. Where directors are unable to attend a meeting, they are advised on the matters to be discussed and given an opportunity to make their views known to the Chairman prior to the meeting.

Directors are also invited to attend the senior leadership's strategic, and operations review meetings to gain further insights into different aspects of the business.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

A summary of the board meetings and attendance is shown below:

	Member	Designation	Attendance
1	MG Waweru	Chairman	4/5
2	PT Kanyago	Member	5/5
3	D Awori	Member	5/5
4	C Kariuki	Member	2/5
5	J Mwatu	Member	4/5
6	Transcentury PLC (Represented by N Njiiu)	Member	5/5
7	Cable Holdings (K) Limited (Represented by W. Muchemi)	Member	4/5
8	P Muigai	Chief Executive Officer	5/5
9	V Ndunge	Company Secretary	5/5

Board Effectiveness

The effectiveness of the Board in its oversight and leadership role is enhanced by a robust support system. This is facilitated through the following:

- *Board Diversity:* The Board recognizes and embraces the benefits of diversity and views increasing diversity as an essential element in maintaining a competitive advantage. Diversity brings different perspectives into Board debates and offers better anticipation of the risks that are inherent in the business and the opportunities that the business pursues. The Non-Executive Directors come from broad industry and professional backgrounds, with varied experience and expertise aligned to the needs of the business.
- *Management of Conflict of Interest:* Declaration of conflicts of interest is also a standard agenda item which is addressed at the onset of each Board and Committee meeting.
- *Director Induction:* As part of the induction training, detailed presentations by management are factored in, so that the Directors gain a good sense of the Company's operations and central functions. The induction process of a new Director is initiated by the Chairman of the Board and is progressed by the Chief Executive Officer, members of the Senior Leadership Team and the Company Secretary.
- *Training and Development:* Board members undergo regular training and education to enable them to fulfil their responsibilities.
- *Access to Independent Advice:* The Board recognizes that there may be occasions when one or more Directors consider it necessary to take independent advice on various matters, at the Company's expense. This is provided for in the Board Charter and the Terms of Reference of each Committee.
- *Evaluation:* In line with the provisions of the Code of Corporate Governance Practices for Issuers of Securities to the Public 2015, the Board evaluates its performance as an entity, its committees, the chairman, the Chief Executive Officer, the Company Secretary, and each individual director.
- *Governance Audit:* In compliance with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, the Board appointed CPF Consulting to conduct the Company's Governance Audit in 2023. The Governance Audit Report was adopted by the Board of Directors on 28th April 2023, the recommendations of which are under implementation. In the opinion of the Governance Auditor, the Board has put in place a governance framework that is broadly in compliance with the legal and regulatory corporate governance requirements. The Company was issued with an unqualified opinion.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Board Effectiveness (continued)

- *Legal and Compliance Audit:* In compliance with the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public, 2015, the Board appointed CPF Consulting to conduct an external Legal and Compliance Audit for the year ended 31 December 2022 with the objective of ascertaining the level of adherence to applicable laws, regulations, and standards in order to deliver long-term value to stakeholders. The findings from the audit confirmed that the Company was generally in compliance with applicable laws and regulations.

Board Charter

The Board Charter is critical to the company's governance framework, and offers guidance on matters including but not limited to the following:

- The separation of the roles, functions, responsibilities and powers of the board and its individual members;
- Powers delegated to the board committees;
- Matters reserved for final decision-making and approval by the board;
- Policies and practices of the board on matters of corporate governance, directors' declarations, and conflict of interest, conduct of board and board committee meetings; and
- Nomination, appointment, induction, ongoing training and performance evaluation of the board and its committees.

The Board charter can be viewed on or downloaded from the company's website www.eacables.co.ke

Board remuneration

The Board has delegated responsibility for the consideration and approval of the remuneration arrangements of the Chairman and Directors to the Governance and Nominations Committee. Non-executive directors are paid a sitting allowance for every meeting attended in addition to a quarterly retainer fee.

Details of the fees paid to directors in the financial year under review are set out in the directors' remuneration report on page 30-32.

Communication with shareholders

The Board is committed to ensuring that shareholders, regulators, and the financial markets are provided with full and timely information about the company performance. This is achieved through:

- i. Interim and annual results publications of the company's financial performance in the daily newspapers.
- ii. The company holds Annual General Meeting to discuss full year performance with shareholders. Copies of the annual reports are made available to shareholders at least 21 days before the date of the AGM. The AGM provides a useful opportunity to the board and management to engage with shareholders on key issues facing the company.
- iii. Interactive website containing all new and relevant information relating to the company.

In this regard, the company complies with the obligations contained in the Nairobi Securities Exchange's Listing Rules, the Capital Markets Authority Act and the Kenyan Companies Act.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Directors' loans

There were no loans made to the directors at any time during the year by virtue of their position in the group and company.

Risk management and controls

The board recognises that risk management is an integral part of creating value. The board has put in place processes for identifying, assessing, and proactively managing risks to ensure that the Group's business objectives are achieved. The group and company have a fully-fledged Internal Audit function led by the parent company, Transcentury PLC. The function reports to the Audit, Risk and Compliance Committee of the Board.

The board recognizes that managing risk to ensure optimal mix between risk and return is an integral part of achieving corporate goals. It is responsible for determining the nature and extent of the significant risks that the Group is willing to take to achieve its strategic objectives. It is also responsible for maintaining sound risk management and internal control systems. With the support of the Audit, Risk and Compliance Committee, the board has put in place processes for identifying, assessing, managing, and monitoring risks to ensure that the risk of failure to achieve business objectives is mitigated. The group and company have defined procedures and financial controls to ensure the reporting of complete and accurate accounting information. These include systems for obtaining authority for major transactions and for ensuring compliance with the laws and regulations that have significant financial implications. Procedures are also in place to ensure that assets are subject to proper physical controls and that the organization remains structured to ensure appropriate segregation of duties. These processes are reviewed by the Internal Auditor who reports directly to the Audit, Risk and Compliance Committee of the Board.

A comprehensive management accounting system is also in place providing financial and operational performance measurement indicators. Regular senior management meetings are held to monitor performance and to agree on measures for improvement.

Financial and Business reporting

The group and company continue to adopt the presentation and disclosure requirements of the International Financial Reporting Standards (IFRSs), The Kenya Companies Act, 2015 and other regulatory requirements. Changes and developments in the standards and other regulations within the financial period under review have been complied with.

The board confirms that the financial statements are prepared on a going concern basis and is satisfied that the group and company have adequate resources to continue in business for the foreseeable future.

In making this assessment, the directors consider a wide range of information relating to present and anticipated future conditions including future projections of profitability, cash flows, capital and other resources. We draw your attention to note 2(f) on pages 52 to 53 detailing measures undertaken by the board and management to turnaround the business back to profitability.

Board Committees Membership and Meeting Attendance

The Board has five (5) standing committees and each committee has formal and approved terms of reference. The committees are provided with all necessary resources to enable them to undertake their duties effectively.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Audit, Risk and Compliance Committee

The committee is comprised of at least three Independent and Non-Executive Directors. It is chaired by an Independent Non-Executive Director with at least one committee member holding a professional qualification in audit or accounting and in good standing with a relevant professional body.

The committee met thrice in the year. Attendance included internal and external auditors, as well as invitees from management. Members of this committee, together with a record of their attendance during the year are set out in the table below.

Name of Director	05.4.2023	16.8.2023	14.12.2023
Julius Mwatu	✓	✓	✓
Peter Kanyago	✓	✓	✓
Ng'ang'a Njiinu	✓	✓	✓
Kamal Pallan	✓	✓	x

This committee receives and reviews reports from management, the internal auditors, external auditors, or any independent consultant it may have engaged during the year. It's responsibilities include risk management, internal controls, and regulatory compliance; setting the scope of internal and external audit, monitoring their effectiveness, and ensuring implementation of audit recommendations; ensuring integrity of financial information and communication to shareholders; review of financial statements and recommending their approval to the board of directors; and review of annual budgets.

Governance and Nominations Committee

This committee is mandated to review the balance and effectiveness of the board, remuneration of directors as well as the succession planning of the board members. It also has oversight on the adherence and compliance by the company to its code of ethics and to the principles and requirements of good corporate governance.

It monitors the size and composition of the board and its succession plans; recommends individuals for nominations as members of the board and committees; it proposes remuneration structures of executive and non-executive members of the board; evaluates the effectiveness of the Board, Board committees, and directors; and monitors compliance to code of ethics and regulatory requirements.

This committee consists of five non-executive directors and meets quarterly or as required. Members of the committee, together with a record of their attendance are set out in the table below.

Name of Director	03.02.2023	01.8.2023	16.11.2023
Michael G. Waweru	✓	✓	x
Amb. Denis Awori	✓	x	✓
Ng'ang'a Njiinu	✓	✓	✓
Wanjuki Muchemi	✓	✓	✓
Carole Kariuki	✓	✓	✓

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Human Resource and Remuneration Committee

This committee is charged with the oversight of establishment, maintenance and administration of the Group and Company's compensation programs, including reviewing and approving the Chief Executive Officer's and other management compensation reviews. The committee also advises the Board on the development of and succession of key executives.

This committee consists of four non-executive directors and meets quarterly or as required. Members of the committee, together with a record of their attendance during the year are set out in the table below.

Name of Director	03.02.2023	01.8.2023	16.11.2023
Amb. Denis Awori	✓	x	✓
Ng'ang'a Njiinu	✓	✓	✓
Wanjuki Muchemi	✓	✓	✓
Carole Kariuki	✓	✓	✓

Strategy Committee

This committee consists of all directors and meets quarterly or as required.

The main responsibility of the committee is to chart the strategy of the Group and to oversee implementation of strategic decisions of the board which include product and or geographical diversification, strategic partnerships and review proposals involving capital expenditure.

The Strategy Committee met on 7th December 2023 to review the status of 5-year strategy implementation.

Commercial Committee

This committee is mandated to evaluate the Group's route to market, customer service and regional diversification. It also evaluates regional market data and advises the board on the overall market strategy.

The membership of this committee comprises of three non-executive directors and the Managing Director/Chief Executive Officer while all the senior managers are also invited. The committee met once the year.

Special Committees

The board is authorised by the Company's Articles of Association to form ad hoc or special committees to deal with specific matters for a defined term period. The board retains oversight over such committees.

Employment equity

The Group is committed to creation of an organization that supports equality of all employees and is committed to elimination of any form of discrimination in the workplace. Our practice is to comply with all laws prohibiting discrimination.

EAST AFRICAN CABLES PLC

CORPORATE GOVERNANCE STATEMENT (CONTINUED)

Ethics and code of conduct

The directors attach great importance to the need to conduct the business and operations of the company with integrity and in accordance with good corporate governance practices. The company adopts the best principles of good corporate culture that requires the directors and all employees to maintain the highest personal and ethical standards and to act in good faith and in the interest of the company. The company has developed and implemented a code of conduct that sets out guidelines and rules, which are based on good governance principles of:

- Full compliance with the law
- Application of best accounting practices
- Safety of all stakeholders
- Product quality and customer focus
- Care of our environment
- Application of best business practices
- Fair competition

Whistle blowing policy

East African Cables PLC has set high standards for its operations to ensure integrity and quality delivery. Employees are often the first to realize that there may be something seriously wrong within the organization. However, they may not express their concerns because they feel that speaking up would be disloyal to their colleagues or to the company. They may also fear harassment or victimization. The company has developed a whistle blowing policy to encourage and provides channels for employees to report exceptional incidences without fear of victimization, discrimination, or disadvantage.

Reportable misconducts and potential irregularities under the policy include all forms of financial malpractices, non-compliance with regulations, criminal activities, improper conduct or unethical behaviours, corporate governance breaches, non-disclosure of interests, sexual and physical abuse of staff and other stakeholders among other vices.

The policy available on our website www.eacables.com, provides clear reporting mechanism through telephone and dedicated email address with assurance of anonymity for whistle-blowers. The staff have also been sensitized through training on reportable incidences, how to make the reports and assurance of confidentiality to providers of information. All reported incidences are directed to individual or teams appropriate to handle the matters reported for further investigation and action.

The board has also maintained an open-door policy allowing for easy escalation of issues. Staff members are regularly sensitised on the need to report any suspected unethical business practices.

EAST AFRICAN CABLES PLC

DIRECTORS REMUNERATION REPORT **FOR THE YEAR ENDED 31 DECEMBER 2023**

INFORMATION NOT SUBJECT TO AUDIT

Information not subject to audit comprise the Company's policy on director's remuneration, Contract of service of directors, Statement of voting at general meeting on directors' remuneration and any substantial changes to the director's remuneration during the year.

(a) Non-Executive Directors' remuneration policy

The fees for Non-Executive Directors are set at a level which is considered appropriate to attract individuals with the necessary experience and ability to oversee the business. The amount of fees reflects the attached responsibility and time commitment. Additional fees are paid for further responsibilities such as chairing committees and sitting on appointed board committees. The value of benefits provided is reasonable in the market context and takes into account the individual circumstances and benefits provided in comparable roles for companies within the industry.

(b) Executive Director's remuneration policy

Executive directors are remunerated in accordance with the staff remuneration policy. Their remuneration package comprises of basic pay, pension and other and other benefits designed to recognize the contribution, skills and experience.

The Executive Director is entitled to the following remuneration:

1. Consolidated basic pay

This is the consolidated base salary paid to the Executive Director.

2. Allowances

Allowances paid include a house allowance and a telephone allowance.

3. Bonus

The Executive Director is entitled to performance-based bonus pay. The bonus is paid based on the performance of the business and on the existing bonus policy.

4. Pension contribution

On a monthly basis, the business contributes 10.75% of basic pay towards the pension of the Executive Director.

5. Club membership

The Executive Director is entitled to paid membership to a social or fitness club.

6. Medical insurance cover

As per Group and Company's Human Resources policy, the Executive Director, like other employees, is entitled to medical insurance cover for their individual and family medical requirements covering both out-patients and in-patients.

EAST AFRICAN CABLES PLC

DIRECTORS REMUNERATION REPORT **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

7. Group life assurance cover

As provided to all employees, the Executive Director is entitled to a death in service benefit. This is payable to beneficiaries of the Executive Director at a maximum of three years' pay.

8. Professional indemnity cover

This is provided in line with best market practice to provide protection for the Executive Director in undertaking their duties in such a capacity.

(c) Substantial changes to director's remuneration

There were no substantial changes relating to the directors' remuneration made during the year (2022 – None).

(d) Statement of voting at general meeting on directors' remuneration

In the last AGM held on 15 June 2023, the shareholders unanimously passed a resolution to approve the directors' remuneration report and the directors' remuneration policy.

INFORMATION SUBJECT TO AUDIT (AUDITABLE PART)

Information subject to audit (auditable part) comprises the amounts of each director's emoluments and compensation in the relevant years. The following amounts were paid to Directors in the year under review.

i. Non- Executive Directors' remuneration for the year ended 31 December

Name	2023			2022		
	Fees	Sitting allowance	Total	Fees	Sitting allowance	Total
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
MG Waweru	3,000	480	3,480	3,000	720	3,720
D Awori	1,800	640	2,440	1,800	720	2,520
PT Kanyago	1,800	560	2,360	1,800	720	2,520
C Kariuki	1,800	400	2,200	1,800	720	2,520
Cable Holdings Limited Represented by W Muchemi	1,800	560	2,360	1,800	720	2,520
J Mwatia	1,800	480	2,280	1,800	800	2,600
TransCentury PLC Represented by N Njiiru	-	-	-	-	-	-
Total Company	12,000	3,120	15,120	12,000	4,400	16,400

Note: Mr. Nganga Njiiru is a director nominated by the Company's ultimate shareholder, TransCentury Plc. He does not earn any personal emolument for being on the board.

EAST AFRICAN CABLES PLC

DIRECTOR'S REMUNERATION REPORT FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

INFORMATION SUBJECT TO AUDIT (AUDITABLE PART) (Continued)

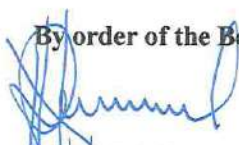
ii. Executive Directors' remuneration for the year ended 31 December

2023					2022				
Name	Basic Pay	Benefits & allowances	Noncash benefits	Total	Basic Pay	Benefits & allowances	Noncash benefits	Total	
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
Paul Muigai	22,119	5,033	12	27,164	21,653	4,812	12	26,477	

Approval of the Directors' remuneration report

The Directors confirm that this report has been prepared in accordance with the Kenyan Companies Act, 2015, Capital Markets Authority (CMA) Code and listing rules and reflects the disclosure parties (see Note 24 to the consolidated and separate financial statements).

By order of the Board



Virginia Ndunge
Secretary

Date: 26 April 2024



EAST AFRICAN CABLES PLC

Top ten shareholders

	Shareholder Name	No. of Shares	% Shareholding
1	Cable Holdings (Kenya) Limited	173,071,149	68.37%
2	Zed Holdings Limitedd	4,054,525	1.60%
3	Ali Mohamed Adam	3,846,562	1.52%
4	Mbogori Holdings Limited	3,310,000	1.31%
5	Njiru, Cyrus	3,300,000	1.30%
6	Juma, Abdulrehman Abdulkarim	2,982,600	1.18%
7	Kariuki, Patrick Njogu	2,040,400	0.81%
8	Arina, Peter Muniyiri Kaka	1,673,564	0.66%
9	Patel, Jitendra Chandubhai Patel & Kirankumar Chandubhai	1,419,462	0.56%
10	Adam, Munirabanu Alimohamed	1,309,900	0.52%
	Others	56,116,838	22.17%
	Total	253,125,000	100.00%

Distribution of shareholding

Volume	No. of Shareholders	No. of Shares	% shareholding
1 - 500	7,940	1,503,498	0.59%
501 - 5,000	5,971	9,908,260	3.91%
5,001 - 10,000	582	4,141,550	1.64%
10,001 - 100,000	732	20,840,482	8.23%
100,001 - 1,000,000	70	17,456,498	6.90%
Above 1,000,000	14	199,274,712	78.73%
TOTALS	15,309	253,125,000	100%

Shareholder analysis by domicile

Domicile	No. of Shareholders	No. of Shares	% shareholding
Local companies	797	189,954,593	75.04%
Local individuals	14,425	61,605,442	24.34%
Foreign companies	8	69,100	0.03%
Foreign individuals	79	1,495,865	0.59%
Total	15,309	253,125,000	100%

EAST AFRICAN CABLES PLC
REPORT OF THE DIRECTORS
FOR THE YEAR ENDED 31 DECEMBER 2023

The directors have pleasure in submitting their report together with the audited financial statements for the year ended 31 December 2023, which disclose the state of affairs of the company and the group.

1. Activities

The group and company's principal activities continue to be the manufacture and sale of electrical cables and conductors.

2. Results

The group and company's results (financial performance) for the year are set out on pages 41 and 42 respectively.

3. Dividends

The directors do not recommend the payment of a dividend (2022 – Nil).

4. Directors

The directors who served during the year and up to the date of this report are set out on page 5 and their details disclosed on pages 16 to 18.

5. Business review

The Group's and Company's business review is set out on pages 8 - 10.

6. Relevant audit information

The directors in office at the date of this report confirm that:

- (i) There is no relevant audit information of which the company's auditor is unaware; and
- (ii) Each director has taken all the steps that they ought to have taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of this information.

7. Employees.

The Group and Company maintained a good relationship with its employees during the year. The average number of staff employed by the Group and Company is as shown below.

	Group		Company	
	2023	2022	2023	2022
Management	58	63	43	47
Other Staff	136	130	121	105

8. Auditor

The Company's auditor, RSM Eastern Africa LLP, has indicated willingness to continue in office in accordance with the Kenyan Companies Act, 2015.

EAST AFRICAN CABLES PLC

REPORT OF THE DIRECTORS **FOR THE YEAR ENDED 31 DECEMBER 2022 (CONTINUED)**

9. Going concern

The group and company recorded net losses of KShs 301.88 million and KShs 550.61 million respectively during the year ended 31 December 2023 (2022 net loss – Group KShs 345.27 million, Company - KShs 167.69 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 2,637.59 million (2021 – KShs 1,244.63 million).

As disclosed in Note 2(f), the Directors are aware that a material uncertainty exists that may cast significant doubt about the Group's and Company's ability to continue as a going concern, and therefore the Group and/or Company may be unable to realize their assets and discharge their liabilities in the normal course of business. However, the Board and management have put in place initiatives to ensure the Group and Company continue as a going concern for the foreseeable future. Those initiatives are detailed in note 2(f) found on pages 52 and 53.

10. Directors' interests

Directors direct interest in the shares of the Company were as follows:

	2023	2022
Name	No. Of shares held	No. Of shares held
Transcentury Plc*	Nil	Nil
Cable Holdings (K) Limited	173,071,149	173,071,149
M.G. Waweru	762,255	762,255
P. T. Kanyago	3,750	53,450
D. Awori	Nil	Nil
C. Kariuki	Nil	Nil
J Mwatu	Nil	Nil

** Transcentury Plc's interest in the group and company is held through Cable Holdings (K) Limited.*

11. Approval of financial statements

The financial statements were approved and authorised for issue at a meeting of the directors held on 26 April 2024.

BY ORDER OF THE BOARD

Virginia Ndunge
Secretary

Date: 26 April 2024



EAST AFRICAN CABLES PLC

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors are responsible for the preparation and presentation of the consolidated and separate financial statements of East African Cables PLC (Group and Company) set out on pages 41 to 98, which comprise the consolidated and separate statements of financial position as at 31 December 2023, and the consolidated and separate statements of profit or loss and other comprehensive income, consolidated and separate statements of changes in equity and consolidated and separate statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies and other explanatory information.

The Directors' responsibilities include: determining that the basis of accounting described in Note 2 is an acceptable basis for preparing and presenting the consolidated and separate financial statements in the circumstances, preparation and presentation of the financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Under the Kenyan Companies Act, 2015, the Directors are required to prepare financial statements for each financial year which give a true and fair view of the financial position of the group and of the company as at the end of the financial year and of the profit or loss of the group and the company for that year. It also requires the Directors to ensure the company and its subsidiary keep proper accounting records which disclose with reasonable accuracy the financial position and profit or loss of the group and the company.

The Directors accept responsibility for the annual consolidated and separate financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act, 2015. The Directors are of the opinion that the consolidated and separate financial statements give a true and fair view of the financial position of the group and the company and of the group and the company profit or loss.

The Directors further accept responsibility for the maintenance of accounting records which may be relied upon in the preparation of consolidated and separate financial statements, as well as adequate systems of internal financial control.

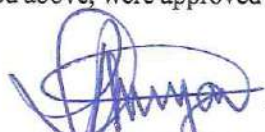
As discussed at note 2(f) to the financial statement, the Directors have made an assessment of the group's and the company's ability to continue as a going concern and are aware of the existence of a material uncertainty related to events and conditions that may cast significant doubt on the Group and Company's ability to continue as a going concern and have put in place measures disclosed at note 2(f) to ensure the Group and Company continue as a going concern for at least the next twelve months from the date of this statement.

Approval of the consolidated and separate financial statements

The consolidated and separate financial statements, as indicated above, were approved and authorised for issue by the Board of Directors on 26 April 2024.



Mr. P.T. Kanyago
Director



Mr. P. Muigai
*Chief Executive Officer and
Managing Director*

Date: 26 April 2024



RSM

RSM Eastern Africa LLP
Certified Public Accountants

1st Floor, Pacis Centre, Slip Road
Off Waiyaki Way, Westlands
P. O. Box 349 – 00606, Nairobi, Kenya

T: +254 (0) 20 361 4000/4451747/8/9

M: +254 (0) 706 347950/772 786111

E: info@ke.rsm-ea.com

www.rsm.global/kenya

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF EAST AFRICAN CABLES PLC

Opinion

We have audited the consolidated and separate financial statements of East African Cables PLC (the Group and Company) as set out on pages 42 to 99, which comprise the consolidated and company statements of financial position as at 31 December 2023, and the consolidated and company statements of profit or loss and other comprehensive income, consolidated and company statements of changes in equity, consolidated and company statements of cash flows for the year then ended, and notes to the consolidated and separate financial statements, including a summary of significant accounting policies..

In our opinion, the accompanying consolidated and separate financial statements give a true and fair view of the consolidated and separate financial position of East African Cables PLC as at 31 December 2023, and of its consolidated and separate financial performance and its consolidated and separate cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs) and in the manner required by the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (including International Independence Standards) (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Material uncertainty related to going concern

We draw attention to Note 2(f) in the financial statements, which indicates that during the year ended 31 December 2023, the group and company incurred net losses of KShs 329.20 million and KShs 548.47 million respectively during the year ended 31 December 2023 (2022 net loss – Group KShs 345.27 million, Company - KShs 167.69 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 2,640.28 million (2022 – KShs 1,244.63 million). As stated in Note 2(f), these events or conditions, along with other matters as set forth in Note 2(f), indicate that a material uncertainty exists that may cast significant doubt on the Group's and Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF EAST AFRICAN CABLES PLC (CONTINUED)**

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated and separate financial statements of the current period. These matters were addressed in the context of our audit of the consolidated and separate financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. In addition to the matter described in the *Material uncertainty related to going concern* section, we have determined the matters described below to be the key audit matters to be communicated in our report.

Determination of expected credit losses on trade and other receivables	
See Note 3(l)(vi), 6(a), 17 and 27(a) to the consolidated and separate financial statements	
Key audit matter	How the matter was addressed in our audit
The group's and company's trade and other receivables amounted to KShs 366 million and KShs 469 million respectively as at 31 December 2023. Significant judgement is involved in assessing the recoverability of trade and other receivables and in estimating the expected credit losses (ECL) required to be recognised against the gross trade and other receivables. The key areas where we identified greater levels of management judgement and therefore increased audit focus was the determination of historical loss rate and the application of forward-looking information to determine the ECL. We determined this area to be a key audit matter in our audit due to the significant judgments involved in determining ECL.	Our procedures in this area included: - Evaluating the group's methodology (provisioning matrix) for measuring ECL against the requirements of IFRS 9 Financial Instruments to determine the appropriateness of the ECL; - Evaluating the mathematical accuracy of the provisioning matrix by agreeing the invoice dates in the aging reports used to develop the matrix to the physical invoice dates, re-aging of the historical sales invoices using the invoice dates and comparing to that used in the provisioning matrix and recalculating the historical loss rates using the receivables aging buckets; - Challenging management's assessment and inclusion of forward-looking information by evaluating the correlation between the forward-looking information and the historical loss rates; and - Evaluating the adequacy of the disclosures made in the financial statements, including disclosures of key assumptions and judgements by reference to IFRS 7 Financial Instruments: Disclosures
Impairment of the plant and machinery	
See Note 3(n) and 11 to the financial statements	
Key audit matter	How the matter was addressed in our audit
The group's and company's plant and machinery of KShs 1,011 million and KShs 687 million respectively as at 31 December 2023 is accounted for at fair value. Because of the existence of indicators of impairment of the assets, it was necessary to determine its recoverable amount in order to assess whether there was any impairment. In assessing the assets recoverable amount, the directors and management, used the discounted cash flow method (DCF method). The discounted cash flow method involves the exercise of significant judgement and use of assumptions regarding future performance and cash flows, which are subject to significant estimation uncertainties. We determined the plant and machinery to be a key audit matter because of the significance of the amount and the related estimation uncertainty, on the assumptions used by management and directors to determine the recoverable amount, particularly those relating to the cash flow projections, growth rates, terminal values and discount rates used in the valuation model.	Our procedures in this area included: - Involving our valuation specialists in evaluating the valuation techniques and assumptions used by the company and its subsidiary; - Challenging the key assumption regarding projected growth rate and future cash flows against historical trends, post-balance sheet performance, industry trends and availability of working capital; - Evaluating the appropriateness of the discount rate used to present value the future cash flows by comparing the discount rate used to the average cost of capital for similar industries; and - Evaluating the appropriateness of the disclosures made in the financial statements, including key assumptions and judgements in accordance with IFRS 13 Fair Value Measurements

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF EAST AFRICAN CABLES PLC (CONTINUED)**



Other information

The directors are responsible for the other information. The other information comprises the information included in the document titled “*East African Cables PLC Annual Report and Financial Statements at 31 December 2023*”, but does not include the consolidated and separate financial statements, and our auditor’s report thereon.

Our opinion on the consolidated and separate financial statements does not cover the other information and we do not express any form of assurance conclusion thereon, other than that prescribed by the Kenyan Companies Act, 2015 as set out below.

In connection with our audit of the consolidated and separate financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the consolidated and separate financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the directors for the consolidated and separate financial statements

The directors are responsible for the preparation of the consolidated and separate financial statements that give a true and fair view in accordance with IFRSs and in the manner required by the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of consolidated and separate financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated and separate financial statements, the directors are responsible for assessing the Group’s and the Company’s ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group and/or the Company or to cease operations, or have no realistic alternative but to do so.

Auditor’s responsibilities for the audit of the consolidated and separate financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated and separate financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor’s report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated and separate financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated and separate financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group’s and the Company’s internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors
- Conclude on the appropriateness of the directors’ use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group’s and the Company’s ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor’s report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor’s report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.

**INDEPENDENT AUDITOR'S REPORT
TO THE MEMBERS OF EAST AFRICAN CABLES PLC (CONTINUED)**

Auditor's responsibilities for the audit of the consolidated and separate financial statements (Continued)

- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's and the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated and separate financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group and/or the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated and separate financial statements, including the disclosures, and whether the consolidated and separate financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the consolidated and separate financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other legal and regulatory requirements

As required by the Kenyan Companies Act, 2015 we report to you, based on our audit, that in our opinion:

- (i) The information in the report of the directors on pages 34 to 35 is consistent with the consolidated and separate financial statements; and
- (ii) The auditable part of the Directors' Remuneration Report on pages 30 to 32, has been prepared in accordance with the requirements of the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is **CPA Elvis Ogeto**, Practising Certificate No. 2303.


for and on behalf of RSM Eastern Africa LLP
Certified Public Accountants
Nairobi

.....26 April.....2024
122/2024

EAST AFRICAN CABLES PLC

CONSOLIDATED STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME **FOR THE YEAR ENDED 31 DECEMBER 2023**

		2023	2022
	Note	KShs '000	KShs '000
Revenue	4(a)	2,524,553	2,605,761
Cost of sales	4(c)	(1,854,293)	(1,918,999)
Gross profit		670,260	686,762
Other income	4(b)	20,717	8,646
Factory expenses	4(c)	(152,740)	(153,806)
Administrative expenses	4(c)	(459,413)	(231,349)
Selling and distribution expenses	4(c)	(98,546)	(81,238)
(Loss) / profit before depreciation, impairment and finance costs		(19,722)	229,015
Impairment writeback/(loss) on trade receivables and contract assets	6(a)	2,423	(31,576)
Depreciation and amortisation	6(b)	(194,385)	(222,251)
Results from operating activities		(211,684)	(24,812)
Interest expense	7	(337,034)	(351,141)
Exchange gains	7	93,787	56,047
Net finance costs	7	(243,247)	(295,094)
Loss before income tax	8	(454,931)	(319,906)
Income tax credit / (expense)	9	153,054	(25,367)
Loss for the year		(301,877)	(345,273)
Other comprehensive income			
<i>Items that will never be reclassified subsequently to profit or loss:</i>			
Revaluation of property, plant and equipment		-	(183)
Revaluation of right of use assets		-	(31,436)
Deferred tax effect		-	9,486
		-	(22,133)
<i>Items that are or may be reclassified to profit or loss:</i>			
Re-measurement gain on retirement benefit plan	20	9,864	8,817
Deferred tax effect on remeasurement gain	21	(2,959)	(2,645)
		6,905	6,172
Foreign currency translation differences on foreign operations		(47,984)	(28,254)
Total other comprehensive income		(41,079)	(44,215)
Total comprehensive income for the year		(342,956)	(389,488)
Loss for the year attributable to:			
Owners of the company		(205,621)	(258,256)
Non-controlling interest		(96,256)	(87,017)
		(301,877)	(345,273)
Total comprehensive income attributable to:			
Owners of the company		(226,109)	(305,151)
Non-controlling interest		(116,847)	(84,337)
		(342,956)	(389,488)
Basic and diluted earnings per share	10	KShs (0.81)	KShs (1.02)

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME **FOR THE YEAR ENDED 31 DECEMBER 2023**

	Note	2023 KShs '000	2022 KShs'000
Revenue	4(a)	2,322,295	2,211,916
Cost of sales	4(c)	<u>(1,694,015)</u>	<u>(1,603,760)</u>
Gross profit		628,280	608,156
Other income	4(b)	7,657	7,307
Factory expenses	4(c)	(122,273)	(115,330)
Administrative expenses	4(c)	(298,901)	(160,611)
Selling and distribution expenses	4(c)	(84,890)	(60,905)
Profit before depreciation, impairment and finance costs		129,873	278,617
Impairment loss on trade receivables and contract assets	6(a)	(466,271)	(7,575)
Depreciation and amortisation	6(b)	<u>(148,263)</u>	<u>(165,513)</u>
Results from operating activities		(484,661)	105,529
Interest expense	7	(269,114)	(288,262)
Net exchange gains / (losses)	7	<u>25,232</u>	<u>36,330</u>
Net finance cost	7	<u>(243,882)</u>	<u>(251,932)</u>
Loss before income tax	8	(728,543)	(146,403)
Income tax credit / (expense)	9	<u>177,937</u>	<u>(21,284)</u>
Loss for the year		<u>(550,606)</u>	<u>(167,687)</u>
Other comprehensive income			
<i>Items that will never be reclassified to profit or loss:</i>			
Revaluation of property, plant and equipment		-	(45,809)
Revaluation of right of use assets		-	34,668
Deferred tax effect		-	<u>3,342</u>
		-	<u>(7,799)</u>
<i>Items that are or may be reclassified to profit or loss:</i>			
Re-measurement gain on retirement benefit plan	20	5,740	5,689
Deferred tax effect on re-measurement gain	21	<u>(1,722)</u>	<u>(1,707)</u>
Total other comprehensive income		<u>4,018</u>	<u>3,982</u>
Total comprehensive income for the year		<u>(546,588)</u>	<u>(171,504)</u>

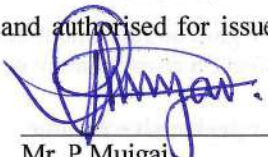
EAST AFRICAN CABLES PLC

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023

		2023	2022
ASSETS	Note	KShs'000	KShs'000
Non-current assets			
Property, plant and equipment	11(a)	2,155,985	2,191,373
Right-of-use assets	12	2,081,084	1,989,950
Investment properties	13	<u>259,216</u>	<u>220,169</u>
		<u>4,496,285</u>	<u>4,401,492</u>
Current assets			
Inventories	16	441,076	347,731
Trade and other receivables	17	365,671	419,927
Current tax recoverable	9(c)	-	59,723
Cash and cash equivalents	25(b)	<u>105,259</u>	<u>129,221</u>
		<u>912,006</u>	<u>956,602</u>
TOTAL ASSETS		<u>5,408,291</u>	<u>5,358,094</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Issued capital	18(a)	126,563	126,563
Share premium	18(b)	545	545
Revaluation reserve	18(c)	2,023,209	2,023,209
Retained earnings		(1,460,785)	(1,260,654)
Foreign currency translation reserve	18(d)	<u>(149,702)</u>	<u>(123,724)</u>
Total equity attributable to equity holders of the company		539,830	765,939
Non-controlling interest	18(e)	<u>(173,384)</u>	<u>(56,537)</u>
Total equity		<u>366,446</u>	<u>709,402</u>
Non-current liabilities			
Bank loans and borrowings	19(a)	320,633	1,315,229
Shareholders loan	24(e)	867,880	723,832
Liability for staff gratuity	20	41,042	40,553
Deferred tax liability	21(a)	<u>262,695</u>	<u>367,848</u>
		<u>1,492,250</u>	<u>2,447,462</u>
Current liabilities			
Trade and other payables	22	1,447,846	1,127,915
Short-term portion of bank loan	19(a)	2,091,902	1,068,190
Current tax payable	9(c)	4,974	-
Dividends payable	23	<u>4,873</u>	<u>5,125</u>
		<u>3,549,595</u>	<u>2,201,230</u>
TOTAL EQUITY AND LIABILITIES		<u>5,408,291</u>	<u>5,358,094</u>

The financial statements on pages 41 to 98 were approved and authorised for issue by the Board of Directors on 26 April 2024 and were signed on its behalf by:


Mr. P.T. Kanyago
Director


Mr. P Muigai
Chief Executive Officer and
Managing Director

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2023

ASSETS	Note	2023 KShs'000	2022 KShs'000
Non-current assets			
Property, plant and equipment	11(b)	1,537,493	1,639,899
Right-of-use assets	12	1,076,859	1,120,734
Investment in subsidiary	15	31,292	115,037
Deferred tax assets	21(b)	<u>212,198</u>	<u>34,870</u>
		<u>2,857,842</u>	<u>2,910,540</u>
Current assets			
Inventories	16	382,679	295,775
Trade and other receivables	17	469,256	820,261
Current tax recoverable	9(c)	-	57,967
Cash and cash equivalents	25(b)	<u>33,524</u>	<u>39,249</u>
		<u>885,459</u>	<u>1,213,252</u>
TOTAL ASSETS		<u>3,743,301</u>	<u>4,123,792</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Issued capital	18(a)	126,563	126,563
Share premium	18(b)	545	545
Revaluation reserve	18(c)	1,390,866	1,390,866
Retained earnings		<u>(1,113,714)</u>	<u>(567,126)</u>
		<u>404,260</u>	<u>950,848</u>
Non-current liabilities			
Bank loans and borrowings	19(a)	320,633	1,207,896
Shareholders loan	24(e)	867,880	723,832
Liability for staff gratuity	20	<u>21,873</u>	<u>23,424</u>
		<u>1,210,386</u>	<u>1,955,152</u>
Current liabilities			
Trade and other payables	22	611,351	552,253
Short-term portion of bank loans and borrowings	19(a)	1,503,966	660,414
Current tax payable	9(c)	8,465	-
Dividend payable	23	<u>4,873</u>	<u>5,125</u>
		<u>2,128,655</u>	<u>1,217,792</u>
TOTAL EQUITY AND LIABILITIES		<u>3,743,301</u>	<u>4,123,792</u>

The financial statements on pages 41 to 98 were approved and authorised for issue by the Board of Directors on 26 April 2024 and were signed on its behalf by:

Mr. P.T. Kanyago
Director

Mr. P Muigai
Chief Executive Officer and
Managing Director

EAST AFRICAN CABLES PLC
CONSOLIDATED STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non- controlling interest KShs'000	Total equity KShs'000
2023:								
Balance at 1 January 2023	126,563	545	2,023,209	(1,260,654)	(123,724)	765,939	(56,537)	709,402
Loss for the year	-	-	-	(205,621)	-	(205,621)	(96,256)	(301,877)
Other comprehensive income								
<i>Items that are or may be reclassified to profit or loss:</i>								
Re-measurement gain on defined benefit plan	-	-	-	7,843	-	7,843	2,021	9,864
Deferred tax effect	-	-	-	(2,353)	-	(2,353)	(606)	(2,959)
Foreign currency translation differences on foreign operations	-	-	-	-	(25,978)	(25,978)	(22,006)	(47,984)
Total other comprehensive income	-	-	-	5,490	(25,978)	(20,488)	(20,591)	(41,079)
Total comprehensive income for the year	-	-	-	(200,131)	(25,978)	(226,109)	(116,847)	(342,956)
Balance at 31 December 2023	126,563	545	2,023,209	(1,460,785)	(149,702)	539,830	(173,384)	366,446
2022:								
Balance at 1 January 2022	126,563	545	2,045,342	(1,007,497)	(93,863)	1,071,090	27,800	1,098,890
Loss for the year	-	-	-	(258,256)	-	(258,256)	(87,017)	(345,273)
Other comprehensive income								
<i>Items that are or may be reclassified to profit or loss:</i>								
Re-measurement gain on defined benefit plan	-	-	-	7,284	-	7,284	1,533	8,817
Deferred tax effect	-	-	-	(2,185)	-	(2,185)	(460)	(2,645)
Foreign currency translation differences on foreign operations	-	-	-	-	(29,861)	(29,861)	1,607	(28,254)
	-	-	-	5,099	(29,861)	(24,762)	2,680	(22,082)
<i>Items that will never be reclassified to profit or loss</i>								
Revaluation of property, plant and equipment	-	-	(183)	-	-	(183)	-	(183)
Revaluation of prepaid operating lease	-	-	(31,436)	-	-	(31,436)	-	(31,436)
Deferred tax on revaluation surplus	-	-	9,486	-	-	9,486	-	9,486
	-	-	(22,133)	-	-	(22,133)	-	(22,133)
Total other comprehensive income	-	-	(22,133)	5,099	(29,861)	(46,895)	2,680	(44,215)
Total comprehensive income for the year	-	-	(22,133)	(253,157)	(29,861)	(305,151)	(84,337)	(389,488)
Balance at 31 December 2022	126,563	545	2,023,209	(1,260,654)	(123,724)	765,939	(56,537)	709,402

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 2023

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Total KShs '000
2023:					
Balance at 1 January 2023	126,563	545	1,390,866	(567,126)	950,848
Comprehensive income for the year					
Loss for the year	-	-	-	(550,606)	(550,606)
Other comprehensive income					
<i>Items that are or may be reclassified to profit or loss</i>					
Re-measurement gain on defined benefit plan (Note 20)	-	-	-	5,740	5,740
Deferred tax effect (Note 22)	-	-	-	(1,722)	(1,722)
Total other comprehensive income	-	-	-	4,018	4,018
Total comprehensive income for the year	-	-	-	(546,588)	(546,588)
Balance at 31 December 2023	126,563	545	1,390,866	(1,113,714)	404,260
2022:					
Balance at 1 January 2022	126,563	545	1,398,665	(403,421)	1,122,352
Comprehensive income for the year					
Loss for the year	-	-	-	(167,687)	(167,687)
Other comprehensive income					
<i>Items that are or may be reclassified to profit or loss</i>					
Re-measurement gain on defined benefit plan (Note 20)	-	-	-	5,689	5,689
Deferred tax effect (Note 22)	-	-	-	(1,707)	(1,707)
	-	-	-	3,982	3,982
<i>Items that will never be reclassified to profit or loss</i>					
Revaluation of property, plant and equipment	-	-	(45,809)	-	(45,809)
Revaluation of right of use assets	-	-	34,668	-	34,668
Deferred tax on revaluation surplus	-	-	3,342	-	3,342
	-	-	(7,799)	-	(7,799)
Total other comprehensive income	-	-	(7,799)	3,982	(3,817)
Total comprehensive income for the year	-	-	(7,799)	(163,705)	(171,504)
Balance at 31 December 2022	126,563	545	1,390,866	(567,126)	950,848

EAST AFRICAN CABLES PLC

CONSOLIDATED STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2023

	Note	2023 KShs'000	2022 KShs'000
Cash generated from operations	25(a)	231,133	86,242
Income taxes paid	9(c)	(3,649)	(2,989)
Cash flows generated from operating activities		<u>227,484</u>	<u>83,253</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	11(a)	(3,913)	(4,719)
Sale of property, plant, and equipment	14	-	<u>106,610</u>
Net cash (used in)/generated from investing activities		<u>(3,913)</u>	<u>101,891</u>
Cash flows from financing activities			
Bank loans and borrowings received	19(b)	-	80,281
Repayment of bank loans and borrowings	19(b)	(77,019)	(83,357)
Interest paid		(170,262)	(149,003)
Dividends paid	23	(252)	(376)
Net cash used in financing activities		<u>(247,533)</u>	<u>(152,455)</u>
Net (decrease)/ increase in cash and cash equivalents		<u>(23,962)</u>	<u>32,689</u>
Cash and cash equivalents at 1 January		<u>129,221</u>	<u>96,532</u>
Cash and cash equivalents at 31 December	25(b)	<u>105,259</u>	<u>129,221</u>

EAST AFRICAN CABLES PLC

SEPARATE STATEMENT OF CASH FLOWS FOR THE YEAR ENDED 31 DECEMBER 2023

	Note	2023 KShs'000	2022 KShs'000
Cash generated from operations	25(a)	166,303	106,280
Income tax paid	9(c)	(1,018)	(2,989)
Cash generated from operating activities		<u>165,285</u>	<u>103,291</u>
Cash flows from investing activities			
Purchase of property, plant and equipment	11(b)	(1,982)	(622)
Sale of property, plant and equipment	14	<u>-</u>	<u>106,610</u>
Net cash (used in)/ generated from investing activities		<u>(1,982)</u>	<u>105,988</u>
Cash flows from financing activities			
Repayment of bank loans and borrowings	19(b)	(36,849)	(33,655)
Interest paid		(131,927)	(156,735)
Dividends paid	23	<u>(252)</u>	<u>(376)</u>
Net cash used in financing activities		<u>(169,028)</u>	<u>(190,766)</u>
Net (decrease)/ increase in cash and cash equivalents		<u>(5,725)</u>	<u>18,513</u>
Cash and cash equivalents at 1 January		<u>39,249</u>	<u>20,736</u>
Cash and cash equivalents at 31 December	25(b)	<u>33,524</u>	<u>39,249</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023**

1. REPORTING ENTITY

East African Cables Plc (“the Company”) is a public limited liability company incorporated in Kenya under the Kenyan Companies Act, 2015 and is domiciled in Kenya. The consolidated financial statements as at and for the year ended 31 December 2023 comprise the company, East African Cables Plc and its subsidiary East African Cables (Tz) Ltd (together referred to as the “Group”). The Group is primarily involved in the manufacture and sale of electrical cables and conductors.

The address of its registered office and principal place of business is stated on Page 2.

Where reference is made in the accounting policies to Group or Company it should be interpreted as being applicable to the consolidated or separate financial statements as the context requires. The consolidated and separate financial statements are hereinafter referred to as “the financial statements”.

2. BASIS OF PREPARATION

(a) Statement of compliance

The consolidated and separate financial statements (hereafter referred to as financial statements) have been prepared in accordance with International Financial Reporting Standards (IFRSs) and the Kenyan Companies Act, 2015.

For Kenyan Companies Act, 2015 reporting purposes, the balance sheet is represented by the statement of financial position and the profit and loss account by the statement of profit or loss and other comprehensive income.

(b) Basis of measurement

The consolidated and separate financial statements have been prepared on the historical cost basis as modified by revaluation of certain items of property, plant and equipment, prepaid operating lease rentals and investment property which is measured at fair value and liability for staff gratuity subjected to actuarial valuation.

Details of the significant accounting policies are included in Note 3.

(c) Functional and presentation currency

These consolidated and separate financial statements are presented in Kenya Shillings (KShs), which is the Company’s functional and presentation currency. All financial information presented has been rounded to the nearest thousand (“KShs ‘000”) except where otherwise indicated.

(d) Use of judgements and estimates

The preparation of financial statements in conformity with IFRSs requires management to make judgement, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities and disclosures of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reported period. The estimates and assumptions are based on the Directors’ best knowledge of current events, actions, historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making the judgements about the carrying values of assets and liabilities are not readily apparent from other sources. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period which the estimate is revised if the revision affects only that period or in the period of the revision and future periods if the revision affects both current and future periods.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(d) Use of judgements and estimates (continued)

Specifically, critical judgements, assumptions and estimation uncertainties are required in the following:

(i) Consolidation

Judgement is required on whether the group has de-facto control over an investee (Note 3(b)(i)). Judgement is also made during acquisition of subsidiaries where fair value is measured on a provisional basis.

(ii) Lease classification

Judgement is required in assessing whether a contract contains a lease on the basis of whether the customer has the right to control the use of an identified asset for a period of time. Note 3(f)).

(iii) Employee benefits

Certain assumptions are made when estimating employee benefit liabilities under gratuity schemes (Note 3(h)).

(iv) Taxation

Judgement is required in determining the provision for income taxes due to the complexity of legislation. The Group and Company recognise liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the income tax and deferred tax provisions in the period in which such determination is made.

The Group recognises the net future tax benefit that relates to deferred income tax assets to the extent that it is probable that the deductible temporary differences will reverse in the foreseeable future. Assessing the recoverability of deferred income tax assets requires the Group to make significant estimates related to expectations of future taxable income. Estimates of future taxable income are based on forecast cash flows from operations and the application of existing tax laws. To the extent that future cash flows and taxable income differ significantly from estimates, the ability of the Group to realise the net deferred tax assets recorded at the reporting date could be impacted.

Recognition of deferred tax assets requires assessment of future taxable profits against which carry forward tax losses can be used. It also requires assessment to determine whether there are sufficient taxable temporal differences against which tax losses can be utilised (Note 3(i)).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(d) Use of judgements and estimates (continued)

(v) *Impairment tests*

Key assumptions underlying recoverable amounts are made in determining carrying amounts of goodwill, receivables, investments in subsidiaries, tangible and intangible assets, investment properties etc, especially where indicators of impairment exist (Note 3 (l) and 3(n)).

The Group and Company always recognises lifetime ECL for trade receivables. The expected credit losses for these assets are estimated using a provision matrix based on the Group and Company's historical credit loss experience, adjusted for factors that are specific to the debtors, general economic conditions and an assessment of both the current as well as the forecast direction of conditions at the reporting date, including the time value of money where appropriate.

(e) Measurement of fair values

A number of the Group's and Company's accounting policies and disclosures require the measurement of fair values, for both financial and non-financial assets and liabilities.

The Group and Company has an established framework with respect to the measurement of fair values. This includes a valuation team that has overall responsibility for overseeing all significant fair value measurements, including Level 3 fair values, and reports directly to the Group finance manager.

The valuation team regularly reviews significant unobservable inputs and valuation adjustments. If third party information, such as broker quotes or pricing services, is used to measure fair values, then the valuation team assesses the evidence obtained from the third parties to support the conclusion that such valuations met the requirements of IFRSs, including the level in the fair value hierarchy in which such valuations should be classified.

Significant valuation issues are reported to the Group's Audit, Risk and Compliance Committee.

When measuring the fair value of an asset or a liability, the Group uses observable market data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- *Level 1:* quoted prices (unadjusted) in active markets for identical assets or liabilities.
- *Level 2:* inputs other than quoted prices included in Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- *Level 3:* inputs for the asset or liability that are not based on observable market data (unobservable inputs).

If the inputs used to measure the fair value of an asset or a liability fall into different levels of the fair value hierarchy, then the fair value measurement is categorised in its entirety in the same level of the fair value hierarchy as the lowest level input that is significant to the entire measurement.

The Group recognises transfers between levels of the fair value hierarchy at the end of the reporting period during which the change has occurred.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(e) Measurement of fair values (continued)

Further information about the assumptions made in measuring fair values is included in the following notes:

- *Note 11* – Property, plant and equipment
- *Note 12* – Right-of-use assets
- *Note 13* – Investment properties
- *Note 14* – Asset held for sale
- *Note 27* – Financial instruments

(f) Going concern

The group and company recorded net losses of KShs 301.88 million and KShs 550.61 million respectively during the year ended 31 December 2023 (2022 net loss – Group KShs 345.27 million, Company - KShs 167.69 million), and as of that date, the Group's current liabilities exceeded its current assets by KShs 2,637.59 million (2022 – KShs 1,244.63 million).

Also, the group and company had overdue loans amounting to KShs 659.73 million payable to Equity Bank Kenya Limited. Due to the loan arrears, the main lender, Equity Bank Kenya Limited, demanded payment of outstanding balances and appointed an Administrator on 16th June 2023, to manage the affairs of the company. However, the Company obtained an injunction from the High Court of Kenya allowing the Board of Directors and Management to continue running the business until the matter is heard and determined. While the group and company does not have ability to settle these arrears in the normal course of business, the Board and Management is working on various actions to ensure that the outstanding debt is regularised.

The above events or conditions indicate that a material uncertainty exists that may cast significant doubt about the Group's and Company's ability to continue as a going concern, and therefore the Group and/or Company may be unable to realize their assets and discharge their liabilities in the normal course of business. Consequently, the Group and Company has put in place the following initiatives to ensure that they meet their obligations as and when they fall due.

Initiatives planned to improve profitability and bridge the funding gap

(i) Divestiture of Tanzania Subsidiary

The Group and Company owe Equity Bank Kenya Limited KShs 2 billion being a joint borrowing by the Company and the Tanzania Subsidiary. Divestiture from the subsidiary will not only reduce the outstanding debt obligation but will also make the Group leaner for quick turn-around. Post year-end, a Share Purchase Agreement was signed between the Company and the potential buyer pending consents and approvals from regulators and key stakeholders. It is expected that the settlement of the Tanzania portion of the loan, which has been non-performing will largely cure the default.

(ii) Debt re-organisation.

To address the issue of overdue loans, the Group and Company is exploring ways of restructuring the debt. To allow the business time to recover, there is need for debt re-organisation to enable sustainable market development activities, revenue growth and profitability.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

2. BASIS OF PREPARATION (Continued)

(f) Going concern (continued)

Initiatives planned to improve profitability and bridge the funding gap - continued

(iii) Working capital funding

The appointment of Administrator mid-2023, adversely disbursements of the much-needed working capital by potential lenders, some of whom had committed. However, the Group and Company continues to seek partnerships for trade facility financing.

Despite the challenges faced in 2023, suppliers and customers have been very supportive of the business. While some key suppliers have offered credit terms for supplies of main raw materials, the business has also managed to convert over 80% of the customers to cash or near cash. These initiatives have enabled the business to maintain continued flow of raw materials to serve customers better even with constrained working capital availability.

(iv) Collaboration with key raw material suppliers:

Global supply chain disruptions have called for greater partnerships and meticulous planning of consignments with key raw material suppliers. This collaboration has helped the business to deliver on key customer orders, which would otherwise have been impossible without specific raw material financing. The improved relations with key suppliers have also enabled the company to reduce raw materials stock-outs, thereby registering better customer experience.

(v) Cash sales and collection of long outstanding receivables

The new route-to-market has enabled the business to collect cash before delivery or a few days after delivery of the goods to the customer. This has not only improved the cash conversion cycle and created a working capital pool but also mitigated the risk of credit defaults. Long outstanding receivables, though impaired in the books, have been a key focus. Various cases are in court for recovery of the old debt.

(vi) Disposal of non-operating assets

The Group and Company are in the process of disposing some of their non-operating assets to generate operating cashflows. It is projected that this exercise will raise approximately KShs 350 million once concluded.

The directors having considered the initiatives above and information at hand, have concluded that the going concern assumption is appropriate in the preparation of these consolidated and separate financial statements. However, if the group and company are unable to obtain sufficient funds through the ongoing fund-raising process (the rights issue at the ultimate holding company, TransCentury Plc) and the planned disposal of assets described above within the next twelve months from the date of approval of these financial statements, a material uncertainty exists which may cast a significant doubt about the group and company's ability to continue as a going concern and, therefore the group and company may be unable to realise their assets and discharge their obligations in the normal course of business.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES

The accounting policies set out below have been applied consistently to all periods presented in these financial statements:

(a) Revenue recognition

(i) Sale of goods

Revenue is measured at the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group and Company's activities. Net revenue is stated net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

Revenue is measured based on the consideration to which the Group and Company expects to be entitled in a contract with a customer. The Group recognises revenue when it transfers control of a product or service to a customer.

The Group will recognise revenue in accordance with that core principle by applying the following five steps:

Step 1: Identify the contract(s) with a customer;

Step 2: Identify the performance obligations in the contract;

Step 3: Determine the transaction price;

Step 4: Allocate the transaction price to the performance obligations in the contract;

Step 5: Recognise revenue when (or as) the entity satisfies performance obligation.

(ii) Rental income

Rental income on the investment property is recognised in profit or loss on a straight-line basis over the term of the lease. Rental income is presented in other income.

(b) Consolidation principles

(i) Subsidiaries

The consolidated financial statements include the Company (which also includes a dormant branch in Uganda) and its subsidiaries, East African Cables (Tanzania) Limited in which the Group holds 51% of the voting rights. (refer to Note 15).

Subsidiaries are entities controlled by the Company. The Group controls an entity when it is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. The financial statements of subsidiaries are included in the consolidated financial statements from the date that control commences until the date on which control ceases.

In the company financial statements, the investment in subsidiary is carried at cost and assessed for impairment at each reporting date.

Non-controlling interests (NCI) are measured at their proportionate share of the acquiree's identifiable net assets at the acquisition date.

(ii) Transactions eliminated on consolidation

All intra-group balances and any unrealised gains and losses or income and expenses arising from intra-group balances, are eliminated in preparing consolidated financial statements.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(b) Consolidation principles (continued)

(iii) Business combinations

All business combinations are accounted for by applying the acquisition method. Goodwill represents the difference between the cost of acquisition and the fair value of the net identifiable assets acquired.

A gain arising on a bargain acquisition is recognised directly in profit or loss.

(c) Foreign currencies

(i) Foreign currency transactions

Transactions in foreign currencies during the year are converted into Kenya Shillings at the exchange rate ruling at the date of the transaction. Foreign currency monetary assets and liabilities are translated at the exchange rate ruling at the reporting date. Resulting exchange differences are recognised in profit or loss.

Non-monetary assets and liabilities that are measured based on historical cost denominated in foreign currency are translated at the exchange rate ruling at the date of transaction.

(ii) Foreign operations

The assets and liabilities of foreign operations (which includes subsidiaries and branches), including fair value adjustments arising on consolidation, are translated to Kenya Shillings at foreign exchange rates ruling at the reporting date. The revenues and expenses of foreign operations are translated to Kenya Shillings at rates approximating the foreign exchange rates ruling at the dates of transaction. Foreign exchange differences arising on translation are recognised in other comprehensive income (OCI) and accumulated as a separate component of equity (foreign currency translation reserve) until the disposal of the foreign operation.

(d) Property, plant and equipment

(i) Recognition and measurement

Items of property, plant and equipment (PPE) are measured at cost or at the revalued amount (as appropriate) less accumulated depreciation and impairment losses, if any.

Cost includes expenditures that are directly attributable to the acquisition of the asset. When parts of an item of property, plant and equipment have different useful lives, they are accounted for as separate items (major components) of property, plant and equipment. External revaluations for the group's buildings, plant and machinery are obtained after every three years. Surpluses arising from the valuations are recognised in other comprehensive income and accumulated in revaluation reserves in equity.

The gain or loss on disposal of an item of property, plant and equipment is determined by comparing the proceeds from disposal with the carrying amount of the property, plant and equipment and is recognised net within profit or loss and presented within other income/expense. When revalued assets are sold, any related amount included in the revaluation reserve is transferred to retained earnings.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(d) Property, plant and equipment (continued)

(ii) *Subsequent costs*

The cost of replacing part of an item of property, plant or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and Company and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are recognised in profit or loss as incurred.

(iii) *Depreciation*

Depreciation is based on the cost of an asset less its residual value. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are shown on note 11(b).

(iv) *Reclassification to investment property*

When the use of a property changes from owner-occupied to investment property, the property is reclassified as investment property and re-measured to fair value. Any gain arising on re-measurement is recognised in profit or loss to the extent that it reverses a previous impairment loss on the specific property, with any remaining gain recognised in equity. Any loss is recognised immediately in profit or loss.

(e) Investment properties

Investment properties are properties held either to earn rental income or for capital appreciation or both, but not for sale in the ordinary course of business, use in production or supply of goods and services or for administrative purposes.

Any gain or loss on disposal of investment properties (calculated as the difference between the net proceeds from disposal and the carrying amount of an item) is recognised in profit or loss. When an investment property that was previously classified as property, plant and equipment is sold, any related amount included in the revaluation reserve is transferred to retained earnings.

Investment properties are measured at fair value. External valuations are obtained on such a basis as to ensure that substantially all properties are valued once every three years. In the event of a material change in market conditions between the valuation date and the reporting date an internal valuation is performed, and adjustments made to reflect any material changes in value.

Surpluses and deficits arising from changes in fair value are recognised in profit or loss for the year.

(f) Leases

Group and Company acting as a lessee

At inception of a contract, the Group and Company assess whether a contract is, or contains a lease. A contract is or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for a consideration. To assess whether a contract conveys the right to control the use of an identified asset, the Group and Company uses the definition of a lease in IFRS 16.

The Group and Company recognize a right-of-use asset and a lease liability at the lease commencement date. The right-of-use asset is initially measured at cost, which comprises the initial amount of the lease liability adjusted for any lease payments made at or before the commencement date, plus any initial direct costs incurred and an estimate of costs to dismantle and remove any improvements made to branches or office premises.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(f) Leases (continued)

The right-of-use asset is subsequently depreciated using the straight-line method from the commencement date to the end of the lease term. In addition, the right-of-use asset is periodically reduced by impairment losses, if any, and adjusted for certain remeasurements of the lease liability.

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted using the interest rate implicit in the lease or, if that rate cannot be readily determined, the Group and Company's incremental borrowing rate is used. Generally, the Group and Company use their incremental borrowing rate as the discount rate.

The Group and Company determine their incremental borrowing rate by analysing their bank borrowings and makes certain adjustments to reflect the terms of the lease and type of asset leased.

Lease payments included in the measurement of the lease liability comprise the following:

- fixed payments, including in-substance fixed payments.
- variable lease payments that depend on an index or a rate, initially measured using the index or rate as at the commencement date.
- amounts expected to be payable under a residual value guarantee; and
- the exercise price under a purchase option that the Group and Company are reasonably certain to exercise, lease payments in an optional renewal period if the Company is reasonably certain to exercise an extension option, and penalties for early termination of a lease unless the Group and Company are reasonably certain not to terminate early.

The lease liability is measured at amortised cost using the effective interest method. It is remeasured when there is a change in future lease payments arising from a change in an index or rate, if there is a change in the Group and Company's estimate of the amount expected to be payable under a residual value guarantee, if the Group and Company changes its assessment of whether it will exercise a purchase, extension or termination option or if there is a revised in-substance fixed lease payment.

When the lease liability is remeasured in this way, a corresponding adjustment is made to the carrying amount of the right-of-use asset or is recorded in profit or loss if the carrying amount of the right-of-use asset has been reduced to zero.

The Group and Company present right-of-use assets and lease liabilities as separate lines in the statement of financial position.

Short-term leases and leases of low-value assets

The Group and Company have elected not to recognise right-of-use assets and lease liabilities for leases of low-value assets and short-term leases. The Group and Company recognise the lease payments associated with these leases as an expense on a straight-line basis over the lease term.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(g) Inventories

Work in progress and manufactured finished goods are valued at production cost including direct costs (cost of materials and labour), an appropriate proportion of production overheads and factory depreciation and other costs incurred in bringing the inventories to their present location and condition. The cost of stocks is based on the weighted average principle.

If the purchase or production cost is higher than net realisable value, inventories are written down to net realisable value. Purchase cost relates to the purchase of raw materials. Net realisable value is the estimated selling price in the ordinary course of business, less the estimated costs of completion and selling expenses.

(h) Employee benefits

(i) *Defined contribution plan*

Non-unionisable employees of the Group are eligible for retirement benefits under a defined contribution plan provided through a separate fund arrangement.

Contributions to the defined contribution plan are recognised in profit or loss as incurred. The Group has no further obligation once the contributions have been paid.

(ii) *Staff gratuity*

The Group provides service gratuity to unionisable staff that retire on attaining the age of 55 years or are declared redundant. These are provided to eligible employees based on each employee's length of service with the Group, as provided for in the collective bargaining agreement. The Group also provides for long service award to staff based on length of service.

The cost of providing service gratuity which is considered as defined benefit plan is determined by a professional actuary using the projected unit credit method.

Re-measurements, comprising of actuarial gains and losses are recognized immediately in the statement of financial position with a corresponding debit or credit to retained earnings through other comprehensive income in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset.

The Group recognises the following changes in the net defined benefit in profit or loss as:

- Service costs comprising of current service costs recognised in profit or loss under cost of sales.
- Net interest expense or income recognised in profit or loss under cost of sales.

Service gratuity is disclosed in Note 20 to the financial statements.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(h) Employee benefits (continued)

(iii) Leave accrual

Employee entitlements to annual leave are recognized when they are expected to be paid to employees. A provision is made for the estimated liability for annual leave at the reporting date.

The monetary value of the unutilised leave by staff as at year end is carried in the accruals as a payable and the movement in the year is recognised in profit or loss.

(iv) Termination benefits

Termination benefits are recognised as an expense when the Group is demonstrably committed, without realistic possibility of withdrawal, to a formal detailed plan to either terminate employment before the normal retirement date, or to provide termination benefits as a result of an offer made to encourage voluntary redundancy. Termination benefits for voluntary redundancies are recognised as an expense if the Group has made an offer encouraging voluntary redundancy, it is probable that the offer will be accepted, and the number of acceptances can be estimated reliably.

(i) Taxation

Income tax comprises current tax and change in deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in other comprehensive income or directly in equity, in which case it is recognised in other comprehensive income or in equity respectively.

Current tax is provided on the results in the year as shown in the financial statements adjusted in accordance with tax legislation.

Deferred tax is recognised in respect of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred tax is not recognised for the following temporary differences: the initial recognition of assets or liabilities in a transaction that is not a business combination and that affects neither accounting nor taxable profit or loss, and differences relating to investments in subsidiaries and jointly controlled entities to the extent that it is probable that they will not reverse in the foreseeable future. In addition, deferred tax is not recognised for taxable temporary differences arising on the initial recognition of goodwill.

Deferred tax is measured at the tax rates that are expected to be applied to temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date.

Deferred tax assets and liabilities are offset if there is a legally enforceable right to offset current tax liabilities and assets, and they relate to income taxes levied by the same tax authority on the same taxable entity, or on different tax entities, but they intend to settle current tax liabilities and assets on a net basis or their tax assets and liabilities will be realised simultaneously. A deferred tax asset is recognised for unused tax losses, tax credits and deductible temporary differences. In the case where the Group and Company have a history of recent losses recognition of a deferred tax asset arising from unused tax losses will be only to the extent that there are sufficient taxable temporary difference or there is convincing other evidence that sufficient taxable profit will be available. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(j) Related party transactions

The group discloses the nature, volume and terms and conditions of amounts outstanding at the end of each financial year from transactions with related parties, which include transactions with the directors, executive officers and group or related companies.

(k) Dividends

Dividends are recognised as a liability in the period in which they are declared. Withholding tax is withheld for all cases where the percentage of ownership is less than 12.5% at the prevailing rates.

Proposed dividends are disclosed on Note 23.

(l) Financial instruments

Financial instruments include balances with banks, trade and other receivables, balances due from and to related parties, trade and other payables and borrowings.

(i) Recognition and initial measurement

Trade receivables and debt securities issued are initially recognised when they are originated. All other financial assets and financial liabilities are initially recognised when the Group and Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, for an item not at fair value through profit or loss (FVTPL), transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price.

(ii) Classification and subsequent measurement

Financial assets

A financial instrument is a contract that gives rise to both a financial asset for one enterprise and a financial liability of another enterprise.

On initial recognition, a financial asset is classified as measured at: amortised cost; fair value through other comprehensive income (FVOCI) – debt investment; FVOCI – equity investment; or FVTPL.

Financial assets are not reclassified subsequent to their initial recognition unless the Group and Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortised cost if it meets both of the following conditions and is not designated as at FVTPL:

- it is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- its contractual terms give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(I) Financial instruments (continued)

(iii) Classification and subsequent measurement (continued)

Financial assets – Business model assessment

The Group and Company makes an assessment of the objective of the business model in which a financial asset is held at a portfolio level because this best reflects the way the business is managed, and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. These include whether management's strategy focuses on earning contractual interest income, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of any related liabilities or expected cash outflows or realising cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Group and Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and how those risks are managed;
- how managers of the business are compensated – e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected; and
- the frequency, volume and timing of sales of financial assets in prior periods, the reasons for such sales and expectations about future sales activity.

Transfers of financial assets to third parties in transactions that do not qualify for derecognition are not considered sales for this purpose, consistent with the Group and Company's continuing recognition of the assets.

Financial assets that are held for trading or are managed and whose performance is evaluated on a fair value basis are measured at FVTPL.

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as a profit margin.

In assessing whether the contractual cash flows are solely payments of principal and interest, the Group and Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making this assessment, the Group and Company considers:

- contingent events that would change the amount or timing of cash flows;
- terms that may adjust the contractual coupon rate, including variable-rate features;
- prepayment and extension features; and
- terms that limit the Group and Company's claim to cash flows from specified assets (e.g. non-recourse features).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(I) Financial instruments (continued)

(ii) Classification and subsequent measurement - continued

Financial assets – Assessment whether contractual cash flows are solely payments of principal and interest - continued

A prepayment feature is consistent with the solely payments of principal and interest criterion if the prepayment amount substantially represents unpaid amounts of principal and interest on the principal amount outstanding, which may include reasonable additional compensation for early termination of the contract.

Additionally, for a financial asset acquired at a discount or premium to its contractual at par amount, a feature that permits or requires prepayment at an amount that substantially represents the contractual at par amount plus accrued (but unpaid) contractual interest (which may also include reasonable additional compensation for early termination) is treated as consistent with this criterion if the fair value of the prepayment feature is insignificant at initial recognition.

Financial assets – Subsequent measurement and gains and losses

Financial assets at FVTPL	These assets are subsequently measured at fair value. Net gains and losses, including any interest or dividend income, are recognised in profit or loss.
Debt Investments at amortised cost	These assets are subsequently measured at amortised cost using the effective interest method. The amortised cost is reduced by impairment losses. Interest income, foreign exchange gains and losses and impairment are recognised in profit or loss. Any gain or loss on derecognition is recognised in profit or loss.
Debt investments at FVOCI	These assets are subsequently measured at fair value. Interest income calculated using the effective interest method, foreign exchange gains and losses and impairment are recognised in profit or loss. Other net gains and losses are recognised in OCI. On derecognition, gains and losses accumulated in OCI are reclassified to profit or loss.
Equity investments at FVOCI	These assets are subsequently measured at fair value. Dividends are recognised as income in profit or loss unless the dividend clearly represents a recovery of part of the cost of the investment. Other net gains and losses are recognised in OCI and are never reclassified to profit or loss.

Financial liabilities – Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortised cost or FVTPL. A financial liability is classified as at FVTPL if it is classified as held-for-trading, it is a derivative or it is designated as such on initial recognition.

Financial liabilities at FVTPL are measured at fair value and net gains and losses, including any interest expense, are recognised in profit or loss. Other financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(iii) *De-recognition*

Financial assets

The Group and Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Group and Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset.

The Group and Company enters into transactions whereby it transfers assets recognised in its statement of financial position but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognised.

Financial liabilities

The Group and Company derecognises a financial liability when its contractual obligations are discharged or cancelled or expire. The Group and Company also derecognises a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognised at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred, or liabilities assumed) is recognised in profit or loss.

(iv) *Offsetting of financial assets and liabilities*

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when the Group and Company has an enforceable right to set off the amounts and it intends either to settle them on a net basis or to realise the asset and settle the liability simultaneously.

(v) *Fair value of financial assets and liabilities*

Fair value of financial assets and financial liabilities is the price that would be received to sell an asset or paid to transfer a liability respectively in an orderly transaction between market participants at the measurement date.

(vi) *Impairment of financial assets*

Non-derivative financial assets

Financial instruments and contract assets

The Group and Company recognises loss allowances for Expected Credit Losses (ECLs) on financial assets measured at amortised cost. The Group and Company measures loss allowances at an amount equal to lifetime ECLs, except for bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition.

Loss allowances for trade receivables and contract assets are always measured at an amount equal to lifetime ECLs.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(vi) *Impairment of financial assets - continued*

Non-derivative financial assets - continued

Financial instruments and contract assets - continued

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Group and Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Group and Company's historical experience and informed credit assessment and including forward-looking information.

The Group and Company assumes that the credit risk on a financial asset has increased significantly if it is more than 90 days past due.

The Group and Company considers a financial asset to be in default when:

- the borrower is unlikely to pay its credit obligations to the Group and Company in full, without recourse by the Group and Company to actions such as realising security (if any is held); or
- the financial asset is more than 365 days past due.

Lifetime ECLs are the ECLs that result from all possible default events over the expected life of a financial instrument.

12-month ECLs are the portion of ECLs that result from default events that are possible within the 12 months after the reporting date (or a shorter period if the expected life of the instrument is less than 12 months).

The maximum period considered when estimating ECLs is the maximum contractual period over which the Group and Company is exposed to credit risk.

Measurement of ECLs

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Group and Company expects to receive).

ECLs are discounted at the effective interest rate of the financial asset.

At each reporting date, the Group and Company assesses whether financial assets carried at amortised cost and debt securities at Fair Value Through Other Comprehensive Income (FVOCI) are credit-impaired.

A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred. Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the debtor
- A breach of contract
- It is probable that the debtor will enter into bankruptcy
- Presentation of allowance for ECL in the statement of financial position
- Write-off

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(vii) Accounting classifications and fair values for financial assets and liabilities

The table below sets out the carrying amounts of each class of financial assets and liabilities, and their fair values:

Group	Financial assets- amortised cost KShs'000	Financial liabilities- amortised cost KShs'000	Total carrying amount KShs'000	Fair value KShs'000
31 December 2023:				
Assets		-		
Trade receivables – net	323,581	-	323,581	323,581
Due from related parties	7,804	-	7,804	7,804
Cash and bank balances	105,259	-	105,259	105,259
Total assets	436,664	-	436,664	436,664
Liabilities				
Bank loans and borrowings	2,412,535	-	2,412,535	2,412,535
Shareholder loan	867,880	-	867,880	867,880
Trade payables	-	438,523	438,523	438,523
Other payables & accruals	-	763,284	763,284	763,284
Dividend payable	-	4,873	4,873	4,873
Due to related parties	-	246,039	246,039	246,039
Total liabilities	3,280,415	1,452,719	4,733,134	4,733,134
31 December 2022:				
Assets		-		
Trade receivables – net	396,722	-	396,722	396,722
Due from related parties	8,578	-	8,578	8,578
Cash and bank balances	129,221	-	129,221	129,221
Total assets	534,521	-	534,521	534,521
Liabilities				
Bank loans and borrowings	2,383,419	-	2,383,419	2,383,419
Shareholder loan	723,832	-	723,832	723,832
Trade payables	-	271,704	271,704	271,704
Other payables & accruals	-	620,181	620,181	620,181
Dividend payable	-	5,125	5,125	5,125
Due to related parties	-	236,030	236,030	236,030
Total liabilities	3,107,251	1,133,040	4,240,291	4,240,291

The fair values for financial instruments such as trade receivables, cash and bank balances, and trade payables carrying amounts are a reasonable approximation of financial instruments.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(l) Financial instruments (continued)

(vii) *Accounting classifications and fair values for financial assets and liabilities - continued*

Company	Financial assets – amortised cost KShs'000	Financial liabilities- amortised cost KShs'000	Total carrying amount KShs'000	Fair value KShs'000
31 December 2023:				
Assets				
Trade receivables	286,222	-	289,924	289,924
Due from subsidiaries	149,150	-	149,150	149,150
Due from related parties	7,804	-	7,804	7,804
Cash and bank balances	33,524	-	33,524	33,524
Total assets	476,700	-	476,700	476,700
Liabilities				
Bank loans and borrowings	1,824,599	-	1,824,599	1,824,599
Shareholder loan	867,880	-	867,880	867,880
Trade payables	-	214,694	214,694	214,694
Other payables & accruals	-	168,814	168,814	168,814
Dividend payable	-	4,873	4,873	4,873
Due to related parties	-	227,846	227,846	227,846
Total liabilities	2,692,479	616,227	3,308,706	3,308,706
31 December 2022:				
Assets				
Trade receivables	344,649	-	344,649	344,649
Due from subsidiaries	460,550	-	460,550	460,550
Due from related parties	8,578	-	8,578	8,578
Cash and bank balances	39,249	-	39,249	39,249
Total assets	853,026	-	853,026	853,026
Liabilities				
Bank loans and borrowings	1,868,310	-	1,868,310	1,868,310
Shareholder loan	723,832	-	723,832	723,832
Trade payables	-	158,056	158,056	158,056
Other payables & accruals	-	170,712	170,712	170,712
Dividend payable	-	5,125	5,125	5,125
Due to related parties	-	223,485	223,485	223,485
Total liabilities	2,592,142	557,378	3,149,520	3,149,520

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Asset fair values

The carrying amounts of financial instruments such as trade receivables, cash and bank balances, and trade payables are a reasonable approximation of fair values.

Valuation hierarchy

The fair value of certain items of property, plant and equipment, leasehold land and investment property was determined by external, independent property valuers in 2022, having appropriate recognized professional qualifications and experience in the location and category of the property being valued.

The table below shows the classification of investment property held at fair value into the valuation hierarchy set out below.

Group	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2023:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11 (a))	-	2,149,630	-	2,149,630
Right-of-use assets (Note 12)	-	2,081,084	-	2,081,084
Investment property (Note 13)	-	259,216	-	259,216
Total	-	4,489,930	-	4,489,930

31 December 2022:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11 (a))	-	2,185,257	-	2,185,257
Right-of-use assets (Note 12)	-	1,989,950	-	1,989,950
Investment property (Note 13)	-	220,169	-	220,169
Total	-	4,395,376	-	4,395,376

Company	Level 1 KShs'000	Level 2 KShs'000	Level 3 KShs'000	Total KShs'000
31 December 2023:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11(b))	-	1,534,794	-	1,534,794
Right-of-use assets (Note 12)	-	1,076,861	-	1,076,861
Total	-	2,611,655	-	2,611,655

31 December 2022:				
Property, plant and equipment (Excluding Motor vehicles) (Note 11(b))	-	1,638,174	-	1,638,174
Right-of-use assets (Note 12)	-	1,120,734	-	1,120,734
Total	-	2,758,908	-	2,758,908

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(m) Asset fair values (continued)

Valuation techniques and significant unobservable inputs

Type	Valuation technique	Significant unobservable inputs	Inter-relationship between significant unobservable inputs and fair value measurement
Property, plant, and equipment	Items of property, plant and equipment in Kenya and Tanzania, other than motor vehicles, are revalued every 3 to 5 years, at values determined based on a valuation done by Ms Accurate Valuers Limited on 29th March 2022. Accurate Valuers Limited is an accredited independent valuer, and an industry specialist in valuing these types of investment properties. The fair value of the properties has not been determined on transactions observable in the market because of the nature of the property and lack of comparable data. Instead, valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied. The resulting fair value change is dealt with through other comprehensive income.	The factory buildings are in prime locations within the industrial area. Machinery is anchored in the factory buildings and is specialized in cable manufacturing only. Other items of property, plant and equipment like motor vehicles, furniture and fittings is moveable in nature and is used to facilitate manufacture and sale of electrical cables and conductors.	The management adopted the revalued amounts based on expert assessment. Changes in values of items of property, plant and equipment were effected through the revaluation reserve.
Investment Property	This is a residential property situated in Dar-es-salaam Tanzania and is stated at fair value less costs to sell, which has been determined based on a valuation by Ms. Accurate Valuers Limited an accredited independent valuer as at 29th March 2022. The property is occupied and generating rental income.	The property is in a prime area adjacent to the National Referral Hospital	The management adopted the revalued amounts based on expert assessment. Fair value loss was recognized through profit or loss.
Right of use assets	This relates to leasehold land upon which the manufacturing plants are set up. These assets are revalued every 3 to 5 years, at values, based on valuation done by Ms Accurate Valuers Limited on 29th March 2022. Accurate Valuers Limited is an accredited independent valuer and an industry specialist in valuing these types of properties. The fair value of the leasehold land has been determined based on comparable transaction in the market. Additionally, valuation model in accordance with that recommended by the International Valuation Standard Committee has been applied.	The right-of-use land is located in prime locations within Nairobi's industrial area and Dar es salaam Nyerere road.	The management adopted the revalued amounts based on expert assessment. Changes in values of items of Right of Use assets were effected through the revaluation reserve.

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(n) Impairment of non- financial assets

The carrying amounts of the Group's and Company's non-financial assets, other than investment properties, inventories and deferred tax assets are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is recognised if the carrying amount of an asset or its cash-generating unit exceeds its recoverable amount. A cash-generating unit is the smallest identifiable asset group that generates cash flows that largely are independent from other assets and groups. Impairment losses are recognised in profit or loss.

Impairment losses recognised in respect of cash-generating units are allocated first reduce the carrying amount of any goodwill allocated to the cash generating unit and then to reduce the carrying amounts of the other assets in the unit (group of units) on a pro rata basis. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset.

Impairment losses recognised in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised. Impairment losses in respect of goodwill are not reversed.

(o) Assets held for sale

Non-current assets or disposal groups comprising assets and liabilities that are expected to be recovered primarily through sale or distribution than through continuing use are classified as held for sale or distribution. Immediately before classification as held for sale or distribution the assets or components of a disposal group are measured in accordance with the Group's accounting policies. Thereafter generally the assets or disposal group are measured at the lower of their carrying amount and fair value less costs to sell. Any impairment loss on a disposal group is allocated first to goodwill and then to the remaining assets and liabilities on a pro rata basis.

Impairment losses on initial classification as held for sale or distribution and subsequent gains and losses on re-measurement are recognised in profit or loss. Gains are not recognised in excess of any cumulative impairment loss.

Once classified as held for sale or distribution, assets are no longer amortised or depreciated, and any equity-accounted investee is no longer equity accounted.

(p) Provisions

A provision is recognised in the statement of financial position when the company has a legal or constructive obligation as a result of a past event and it is probable that an outflow of economic benefits will be required to settle the obligation. If the effect is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS **FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)**

3. MATERIAL ACCOUNTING POLICIES (Continued)

(q) Finance income and expenses

Finance income and expenses comprise interest expense on borrowings and foreign currency losses. Borrowing costs, not relating to qualifying assets, are recognised in profit or loss using the effective interest rate.

Foreign exchange gains and losses are reported on a gross basis.

(r) Segmental reporting

The Group determines and presents operating segments based on the information that internally is provided to the Group Chief Executive Officer (CEO), who is the Group's chief operating decision maker.

The Group has three reportable segments which are the Group's geographic locations. The geographic locations offer similar products to different markets and are managed separately because they require different marketing strategies.

The CEO reviews the internal management reports on each of the segments on a monthly basis. The performance of each segment is measured on segment profit as included in the management report. Segment profit is used to measure performance as management believes that such information is the most relevant in evaluating the results of the businesses.

Specific segmental information is disclosed in Note 30.

(s) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding for the effects of all dilutive potential ordinary shares.

(t) Comparative information

Where necessary, comparative figures have been represented to conform with changes in presentation in the current year.

(u) New standards, amendments and interpretations

(i) New standards, amendments and interpretations effective and adopted during the year

The Group and Company has adopted the following new standards and amendments during the year ended 31 December 2023-

, including consequential amendments to other standards with the date of initial application by the Group and Company being 1 January 2023.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

3. MATERIAL ACCOUNTING POLICIES (Continued)

(v) New standards, amendments and interpretations

(ii) *New standards, amendments and interpretations effective and adopted during the year (continued)*

The following new and revised standards became effective for the first time in the financial year beginning 1st January 2023
— <i>Amendments to IAS 8 titled Definition of Accounting Estimates.</i> The amendments introduce a definition of ‘accounting estimates’ and include other amendments to IAS 8 to help entities distinguish changes in accounting policies from changes in accounting estimates.
— <i>Amendments to IAS 1 titled Disclosure of Accounting Policies.</i> The amendments require entities to disclose their material accounting policy information rather than their significant accounting policies.
— <i>Amendments to IAS 12 titled Deferred Tax Related to Assets and Liabilities arising from a Single Transaction.</i> The amendments narrowed the scope of the recognition exemption in paragraphs 15 and 24 of IAS 12 (recognition exemption) so that it no longer applies to transactions that, on initial recognition, give rise to equal taxable and deductible temporary differences.
— <i>Amendments to IFRS 9 and IFRS 17 titled Initial application of IFRS 17 and IFRS 9 – Comparative Information.</i> The amendments, applicable on initial application of IFRS 17, add a transition option relating to comparative information about financial assets presented on initial application of IFRS 17.
— <i>Amendments to IAS 12 entitled International Tax Reform - Pillar Two Model Rules.</i> The amendments introduced a temporary exception to the requirements to recognise and disclose information about deferred tax assets and liabilities related to Pillar Two income taxes and targeted disclosure requirements for affected entities.

The above new standards and amendments did not have a material impact on the financial statements of the Group and Company.

(iii) *New standards, amendments and interpretations in issue but not effective for the year ended 31 December 2023*

A number of new standards, amendments to standards and interpretations are not yet effective for the year ended 31 December 2023 and have not been early adopted by the Group and Company. The Group and Company are in the process of assessing the impact of these standards on the Company Financial Statements.

New standard or amendments
— Amendments to IAS 1: Classification of Liabilities as Current or Non-current
— Amendment to IFRS 16 titled Lease Liability in a Sale and Leaseback
— Amendments to IAS 1 titled Non-current Liabilities with Covenants
— Amendments to IAS 7 and IFRS 7 titled Supplier Finance Arrangements
— Amendments to IAS 21 titled Lack of Exchangeability
— Amendments to IFRS 10 and IAS 28 titled Sale or Contribution of Assets between an Investor and its Associate or Joint Venture

All standards and interpretations will be adopted at their effective date (except for those standards and interpretations that are not applicable to the entity).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

4. REVENUE, OTHER INCOME AND EXPENSES

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
(a) Revenue				
Sale of electrical cables and conductors	<u>2,524,553</u>	<u>2,605,761</u>	<u>2,322,295</u>	<u>2,211,916</u>

Revenue from sale of goods is recognised as and when control is transferred to the customer based on the percentage of completion of a service contract within the accounting period; to the extent that the customer has accepted the good and the collectability of the related receivable is reasonably measured.

(b) Other income

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Other income				
Loss on disposal of investment property	-	(3,490)	-	(3,490)
Miscellaneous income.	5,330	2,372	3,947	2,159
Rent income	5,154	9,764	3,710	8,638
Interest received on debt recovery	<u>10,233</u>	<u>-</u>	<u>-</u>	<u>-</u>
	<u>20,717</u>	<u>8,646</u>	<u>7,657</u>	<u>7,307</u>

(c) Expenses by nature

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Raw materials and consumables	1,798,409	1,861,901	1,650,463	1,560,539
Employee benefits and other staff costs (Note 5)	301,388	284,590	233,268	218,649
Electricity expenses	44,053	41,755	38,876	33,773
Repairs and maintenance	15,351	30,787	12,340	25,213
Professional and consultancy costs	126,488	9,306	64,623	3,050
Vehicle expenses	12,473	8,072	8,292	5,201
Other expenses	<u>265,108</u>	<u>148,981</u>	<u>190,495</u>	<u>94,181</u>
	<u>2,563,270</u>	<u>2,385,392</u>	<u>2,198,357</u>	<u>1,940,606</u>
Comprising:				
Cost of sales	1,852,571	1,918,999	1,692,293	1,603,760
Factory expenses	152,740	153,806	122,273	115,330
Administrative expenses	459,413	231,349	298,901	160,611
Selling and distribution expenses	<u>98,546</u>	<u>81,238</u>	<u>84,890</u>	<u>60,905</u>
	<u>2,563,270</u>	<u>2,385,392</u>	<u>2,198,357</u>	<u>1,940,606</u>

5. STAFF COSTS

Direct labour	54,161	57,023	41,830	43,220
Indirect factory salaries	59,700	61,860	52,590	52,486
Administration salaries and wages	119,714	104,000	84,502	77,775
Distribution salaries and wages	51,759	41,989	43,867	34,918
Pension contributions	<u>16,054</u>	<u>19,718</u>	<u>10,479</u>	<u>10,250</u>
	<u>301,388</u>	<u>284,590</u>	<u>233,268</u>	<u>218,649</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

6. OTHER OPERATING EXPENSES

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
(a) Impairment losses				
Impairment loss on non-financial assets	-	-	-	-
Fair value loss on investment property	-	1,919	-	(14,079)
Impairment (writeback)/loss on trade receivables	(2,004)	28,178	382,945	20,644
Impairment loss/(writeback) on other financial assets	(419)	1,479	(419)	1,010
Impairment loss on investment in subsidiary	-	-	83,745	-
	<u>(2,423)</u>	<u>31,576</u>	<u>466,271</u>	<u>7,575</u>
(b) Depreciation and amortisation				
Depreciation of property, plant and equipment	133,484	150,556	104,388	122,062
Depreciation of right-of-use assets	60,901	71,695	43,875	43,451
	<u>194,385</u>	<u>222,251</u>	<u>148,263</u>	<u>165,513</u>

7. NET FINANCE COST

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Interest expense	337,034	351,141	269,114	288,262
Net exchange gains	(93,787)	(56,047)	(25,232)	(36,330)
	<u>243,247</u>	<u>295,094</u>	<u>243,882</u>	<u>251,932</u>

8. LOSS BEFORE TAX

Loss before tax is arrived at after charging:

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Depreciation expense (Note 11)	133,484	150,556	104,388	122,062
Depreciation – Right of use assets (Note 12)	60,901	71,695	43,875	43,451
Interest expense (Note 7)	337,034	351,141	269,114	288,262
Directors' emoluments (Note 24):				
Fees (non-executive directors)	16,050	16,416	12,000	12,000
- Sitting allowances	5,904	6,303	3,120	4,400
- Executive Director's remuneration	27,164	26,477	27,164	26,477
Auditor's remuneration	6,169	5,299	3,500	3,500

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

9. INCOME TAX

(a) Income tax (credit) / expense

	Group		Company	
	2023	2022	2023	2022
	KShs'000	KShs'000	KShs'000	KShs'000
Current year tax at 30 %	<u>2,190</u>	<u>3,643</u>	<u>1,113</u>	<u>1,667</u>
Deferred tax (credit) / expense (Note 21)				
Movement through profit or loss	(114,689)	22,222	(138,495)	19,617
Prior year (over)/under provision	<u>(40,555)</u>	<u>(498)</u>	<u>(40,555)</u>	<u>-</u>
	<u>(155,244)</u>	<u>21,274</u>	<u>(179,050)</u>	<u>19,617</u>
Total income tax (credit) / expense	<u>(153,054)</u>	<u>25,367</u>	<u>(177,937)</u>	<u>21,284</u>

(b) Tax reconciliation

The tax on the Group and Company results differs from the theoretical amount using the basic tax rate as follows:

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Loss before income tax	<u>(454,931)</u>	<u>(319,906)</u>	<u>(728,543)</u>	<u>(146,403)</u>
Tax calculated at the statutory income tax rate of 30%	(136,480)	(95,972)	(218,563)	(43,921)
Movement in unrecognised deferred tax asset	68,007	71,140	-	-
Prior year overprovision-deferred tax	(40,555)	(498)	(40,555)	-
Tax effect of other deductible costs	<u>(44,026)</u>	<u>50,697</u>	<u>81,181</u>	<u>65,205</u>
	<u>(153,054)</u>	<u>25,367</u>	<u>(177,937)</u>	<u>21,284</u>

(c) Current tax balances

Balance as at 1 January	59,723	59,021	57,967	56,645
Current tax charge	(2,190)	(3,643)	(1,113)	(1,667)
Tax offsets	(66,337)	-	(66,337)	-
Paid during the year	3,649	2,989	1,018	2,989
Foreign exchange differences	<u>181</u>	<u>1,356</u>	<u>-</u>	<u>-</u>
Balance as at 31 December	<u>(4,974)</u>	<u>59,723</u>	<u>(8,465)</u>	<u>57,967</u>
Comprising:				
Current tax recoverable	-	59,723	-	57,967
Current tax payable	<u>(4,974)</u>	<u>-</u>	<u>(8,465)</u>	<u>-</u>
	<u>(4,974)</u>	<u>59,723</u>	<u>(8,465)</u>	<u>57,967</u>

10. BASIC AND DILUTED EARNINGS PER SHARE

The calculation of basic and diluted earnings per share is based on:

	2023	2022
Loss attributable to ordinary shareholders (KShs'000)	<u>(205,621)</u>	<u>(258,256)</u>
Weighted average number of ordinary shares outstanding during the year	<u>253,125,000</u>	<u>253,125,000</u>
Basic and diluted earnings per share (KShs)	<u>(0.81)</u>	<u>(1.02)</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

11. PROPERTY, PLANT AND EQUIPMENT

(a) Group

2023:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2023	1,015,472	1,231,494	38,645	93,341	109,998	2,488,950
Additions	-	1,931	1,827	155	-	3,913
Exchange differences	46,203	55,025	3,920	5,298	-	110,446
At 31 December 2023	1,061,675	1,288,450	44,392	98,794	109,998	2,603,309
Depreciation:						
At 1 January 2023	16,132	169,967	32,529	78,949	-	297,577
Charge for the year	26,011	102,027	2,199	3,247	-	133,484
Exchange differences	2,436	5,894	3,309	4,624	-	16,263
At 31 December 2023	44,579	277,888	38,037	86,820	-	447,324
Net carrying value:						
At 31 December 2023	1,017,096	1,010,562	6,355	11,974	109,998	2,155,985

2022:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2022	1,231,221	1,717,637	39,902	95,743	103,469	3,187,972
Additions	-	3,817	-	902	-	4,719
Disposal/retired	-	(135,000)	-	-	-	(135,000)
Transfers to /(from) WIP	-	3,050	-	-	(3,050)	-
On revaluation	(241,466)	(383,739)	(2,949)	(5,423)	(4,500)	(638,077)
Adjustment	-	-	-	-	14,079	14,079
Exchange differences	25,717	25,729	1,692	2,119	-	55,257
At 31 December 2022	1,015,472	1,231,494	38,645	93,341	109,998	2,488,950
Depreciation:						
At 1 January 2022	136,061	558,690	37,396	78,658	-	810,805
Charge for the year	27,520	116,409	2,486	4,141	-	150,556
Disposal	-	(45,000)	-	-	-	(45,000)
On revaluation	(154,488)	(468,681)	(9,089)	(5,702)	-	(637,960)
Exchange differences	7,039	8,549	1,736	1,852	-	19,176
At 31 December 2022	16,132	169,967	32,529	78,949	-	297,577
Net carrying value:						
At 31 December 2022	999,340	1,061,527	6,116	14,392	109,998	2,191,373

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

11. PROPERTY, PLANT AND EQUIPMENT (Continued)

(b) Company

2023:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2023	755,000	912,314	16,542	63,404	109,999	1,857,259
Additions	-	-	1,827	155	-	1,982
At 31 December 2023	755,000	912,314	18,369	63,559	109,999	1,859,241
Depreciation:						
At 1 January 2023	10,066	139,406	14,817	53,071	-	217,360
Charge for the year	15,100	85,459	853	2,976	-	104,388
At 31 December 2023	25,166	224,865	15,670	56,047	-	321,748
Net carrying value:						
At 31 December 2023	<u>729,834</u>	<u>687,449</u>	<u>2,699</u>	<u>7,512</u>	<u>109,999</u>	<u>1,537,493</u>

2022:	Buildings	Plant and machinery	Motor vehicles	Furniture, fittings & equipment	Construction work in progress	Total
	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Cost or valuation:						
At 1 January 2022	895,707	1,372,996	17,824	68,103	103,470	2,458,100
Additions	-	-	-	622	-	622
Transfers	-	3,050	-	-	(3,050)	-
Adjustment	-	-	-	-	14,079	14,079
Disposal/retired	-	(135,000)	-	-	-	(135,000)
On revaluation	(140,707)	(328,732)	(1,282)	(5,321)	(4,500)	(480,542)
At 31 December 2022	755,000	912,314	16,542	63,404	109,999	1,857,259
Depreciation:						
At 1 January 2022	53,641	450,960	15,318	51,109	-	575,028
Charge for the year	16,041	100,840	1,781	3,400	-	122,062
Disposal	-	(45,000)	-	-	-	(45,000)
On revaluation	(59,616)	(367,394)	(2,282)	(5,438)	-	(434,730)
At 31 December 2022	10,066	139,406	14,817	53,071	-	217,360
Net carrying value:						
At 31 December 2022	<u>744,934</u>	<u>772,908</u>	<u>1,725</u>	<u>10,333</u>	<u>109,999</u>	<u>1,639,899</u>

Depreciation is based on the cost of an asset less its residual value. Depreciation is charged on a straight-line basis over the estimated useful lives of the assets. The annual rates of depreciation used are as follows:

- Leasehold buildings Over the shorter of the lease period and the asset's useful life
- Plant and machinery 10%
- Computers 33.3%
- Motor vehicles 25%
- Furniture, fittings, and equipment 12.5% - 20%
- Construction work-in-progress Not depreciated until after commissioning.

The assets' residual values, useful lives and depreciation methods are reviewed and adjusted as appropriate at each reporting date.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

11. PROPERTY, PLANT AND EQUIPMENT (Continued)

Revaluation

The directors are of the view that the value carried in the books is a fair estimate of the current value of the assets as at the statement of financial position date.

Included in property, plant and equipment are assets with a gross value of KShs 153 million (2022 – KShs 284 million), which are fully depreciated, and still in use. Such assets would have attracted a notional depreciation of KShs 80 million (2022 – KShs 94 million).

If the buildings, plant and machinery were stated on the historical cost basis, the amounts would be as follows:

Group	Buildings KShs'000	Plant and machinery KShs'000	Total KShs'000
At 31 December 2023			
Cost	930,728	2,124,852	3,055,580
Accumulated Depreciation	(251,766)	(2,124,852)	(2,376,618)
Net carrying value	<u>678,962</u>	<u>-</u>	<u>678,962</u>
At 31 December 2022			
Cost	884,526	2,067,896	2,952,422
Accumulated Depreciation	(233,151)	(2,067,896)	(2,301,047)
Net carrying value	<u>651,375</u>	<u>-</u>	<u>651,375</u>
Company	Buildings KShs'000	Plant and machinery KShs'000	Total KShs'000
At 31 December 2023			
Cost	835,003	1,707,840	2,542,843
Accumulated Depreciation	(227,849)	(1,707,840)	(1,935,689)
Net carrying value	<u>607,154</u>	<u>-</u>	<u>607,154</u>
At 31 December 2022			
Cost	835,003	1,707,840	2,542,843
Accumulated Depreciation	(211,149)	(1,707,840)	(1,918,899)
Net carrying value	<u>623,854</u>	<u>-</u>	<u>623,854</u>
Security			

At 31 December 2023, land and buildings for Group and Company with a carrying amount of KShs 3,098 million and KShs 1,807 million (2022 – KShs 2,989 million and KShs 1,866 million) respectively, are subject to a registered debenture securing a bank loan facility. Plant and machinery for the Group and Company with a carrying amount of KShs 1,139 million and KShs 808 million (2022 – KShs 1,186 million and KShs 893 million) respectively are subject to a registered debenture to secure bank loan facilities. A motor vehicle with a cost of KShs 4.3 million (2022 – KShs 4.3 million) is also held as security for a bank loan.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

12. RIGHT-OF-USE ASSETS

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Carrying value at 1 January	1,989,950	2,026,127	1,120,734	1,129,517
Charge for the year	(60,901)	(71,695)	(43,875)	(43,451)
Revaluation	-	(7,644)	-	34,668
Exchange adjustment	152,035	43,162	-	-
Balance as at 31 December	<u>2,081,084</u>	<u>1,989,950</u>	<u>1,076,859</u>	<u>1,120,734</u>

The right-of-use assets relate to four leasehold properties, as detailed below:

- LR No. 209/8176 held on a 77 year lease commencing January 1973.
- LR No. 209/6982/1 held on a 81 year lease commencing January 1967.
- LR No. 209/4235 held on a 99 year lease commencing January 1949.
- LR No. 54633 held on a 99 year lease commencing October 1976.

Right of Use Assets are amortised over the term of the lease.

13. INVESTMENT PROPERTIES

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Balance as at 1 January	220,169	220,260	-	-
On revaluation	-	(17,004)	-	-
Exchange differences	39,047	16,913	-	-
Balance as at 31 December	<u>259,216</u>	<u>220,169</u>	<u>-</u>	<u>-</u>

Investment properties comprise of residential houses that have been leased to third parties and are carried at fair value.

14. ASSETS HELD FOR SALE

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Balance as at 1 January	-	110,000	-	110,000
Sale of asset held for sale	-	(110,000)	-	(110,000)
Balance as at 31 December	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>

The net proceeds from disposal of the property previously held for sale were KShs 106,610,000. Details of that property are LR.NO.3734/126 on Naushad Merali drive, Lavington, Nairobi, Kenya

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

15. INVESTMENT IN SUBSIDIARIES

East African Cables (Tanzania) Limited

	2023 KShs '000	2022 KShs '000
Balance as at 1 January	115,037	115,037
Impairment	(83,745)	-
Balance as at 31 December	<u>31,292</u>	<u>115,037</u>

On 31 October 2005, the Company purchased 51% of the share capital of East African Cables (Tanzania) Limited, a company incorporated in Tanzania. The investment is carried at cost less impairment losses.

Post year-end, the company signed a share purchase agreement with a potential buyer with an intention to sell off the shareholding in the subsidiary. The impairment arising from the potential sale has been recognised in the company financial statements.

The overall results of operations for the subsidiary, East African Cables (Tanzania) Limited is as follows:

	2023 KShs '000	2022 KShs '000
Revenue for the year ended 31 December	<u>202,258</u>	<u>393,845</u>
Loss after tax for the year ended 31 December	<u>(196,440)</u>	<u>(177,586)</u>

The company also owns Yana Trading Limited a company incorporated in South Africa which is dormant.

16. INVENTORIES

	Group		Company	
	2023 KShs '000	2022 KShs '000	2023 KShs '000	2022 KShs '000
Finished goods	98,159	129,583	94,093	118,923
Raw materials	236,547	123,491	202,489	97,800
Work in progress	58,703	51,199	52,571	47,773
Strategic spares and lubricants	46,126	42,082	32,801	31,005
Stationery and printing	<u>1,541</u>	<u>1,376</u>	<u>725</u>	<u>274</u>
	<u>441,076</u>	<u>347,731</u>	<u>382,679</u>	<u>295,775</u>

The group and company expensed through cost of sales inventories amounting to KShs 1,798 million and KShs 1,650 million during the year (2022 – KShs 1,862 million and KShs 1,560 million, respectively).

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

17. TRADE AND OTHER RECEIVABLES

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Net trade receivables (Note 27 (a))	323,581	396,722	286,222	344,649
Prepaid expenses	19,110	11,834	13,370	6,484
Prepayments for raw materials & spares	15,176	2,793	12,710	-
Due from subsidiary (Note 24 (c))	-	-	149,150	460,550
Due from other related parties (Note 24 (c))	<u>7,804</u>	<u>8,578</u>	<u>7,804</u>	<u>8,578</u>
	<u>365,671</u>	<u>419,927</u>	<u>469,256</u>	<u>820,261</u>

18. CAPITAL AND RESERVES

(a) Share capital

	2023		2022	
Group and Company:	Number		Number	
Authorised, issued and fully paid	of shares		of shares	
	(Thousands)	KShs'000	(Thousands)	KShs'000
Ordinary shares of KShs 0.50 each at 1 January and 31 December	<u>253,125</u>	<u>126,563</u>	<u>253,125</u>	<u>126,563</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at general meetings of the company.

(b) Share premium

	2023	2022
	KShs '000	KShs '000
Share premium (Group and company)	<u>545</u>	<u>545</u>

(c) Revaluation reserve

The revaluation reserve relates to the revaluation of property, plant and equipment, leasehold land, right of use assets and investment property revaluation prior to transfer on reclassification as investment property. The revaluation reserve is stated net of the associated deferred tax and is not available for distribution as dividends.

(d) Foreign currency translation reserve

The foreign currency translation reserve comprises all foreign currency differences arising from the translation of the financial statement of foreign operations, which include subsidiaries, Group and Company.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

18. CAPITAL AND RESERVES (Continued)

(e) Non-controlling interests

The following table summarises the information relating to East Africa Cables Tanzania Limited, a subsidiary that has material non-controlling interest (NCI) before any intra-group eliminations:

<i>In KShs'000</i>	2023	2022
NCI percentage	49%	49%
Non-current assets	1,881,930	1,640,857
Current assets	179,188	203,901
Non-current liabilities	(340,382)	(491,417)
Current liabilities	(2,116,994)	(1,504,745)
Right-of use assets on consolidation	-	36,402
Net assets	(396,258)	(151,404)
Carrying amount of NCI	(173,384)	(56,537)
Revenue	202,258	393,845
Loss	(196,441)	(177,585)
OCI	(1,237)	15,212
Total comprehensive income	(197,678)	(162,373)
Loss allocated to NCI	(96,256)	(87,017)
OCI allocated to NCI	(606)	(7,454)
Cash flows from operating activities	30,371	(32,865)
Cash flows from investment activities	(946)	(1,531)
Cash flows from financing activities (dividends to NCI: nil)	(46,180)	(13,580)
Net decrease in cash and cash equivalents	(16,755)	(47,976)

(f) Dividend per share

The directors do not propose the payment of a dividend in respect of the year ended 31 December 2023 (2022 – Nil) per share. Dividend is paid less withholding tax of 5% for residents, 10% for non-residents where applicable and 0% for local entities owning 12.5% shareholding or more.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

19. BANK LOANS AND BORROWINGS

(a) Outstanding balances, terms and repayment schedule

	Currency	Nominal interest rate (p.a)	Group		Company	
			2023 KShs '000	2022 KShs '000	2023 KShs '000	2022 KShs '000
Equity Bank	KShs	13%	2,041,460	1,934,076	1,453,524	1,459,136
Ecobank Kenya	KShs	13%	129,489	145,319	129,489	145,319
SBM Bank Kenya	KShs	13%	241,586	263,855	241,586	263,855
Mwanga Hakika Bank	TZShs	14%	-	40,169	-	-
			<u>2,412,535</u>	<u>2,383,419</u>	<u>1,824,599</u>	<u>1,868,310</u>
Comprising:						
		Year of maturity				
Non-current liability		2024-2029	320,633	1,315,229	320,633	1,207,896
Current liability		2021-2023	<u>2,091,902</u>	<u>1,068,190</u>	<u>1,503,966</u>	<u>660,414</u>
			<u>2,412,535</u>	<u>2,383,419</u>	<u>1,824,599</u>	<u>1,868,310</u>

(b) Loan movement schedule

	Group		Company	
	2023 KShs '000	2022 KShs '000	2023 KShs '000	2022 KShs '000
Balance at 1 January	2,383,419	2,265,702	1,868,310	1,851,783
Received during the year	-	80,281	-	-
Repaid during the year	(77,019)	(83,357)	(36,849)	(33,655)
Interest charge	268,951	302,534	197,660	239,588
Interest paid	(204,522)	(189,406)	(204,522)	(189,406)
Foreign currency translations	41,706	7,665	-	-
Balance at 31 December	<u>2,412,535</u>	<u>2,383,419</u>	<u>1,824,599</u>	<u>1,868,310</u>

As at 31 December 2023, the group and company had overdue loans amounting to 659.59 million (2022: KShs 649.73 million). Equity Bank Kenya Limited has demanded that the arrears be settled and appointed an Administrator for recovery of the outstanding balances.

(c) Securities and covenants

East African Cables Plc has facility arrangements with Equity Bank Kenya Limited, Ecobank Kenya Limited and SBM Bank Kenya Limited. The borrowings are secured by certain land and buildings and a debenture over all the assets of East African Cables Plc and East African Cables (Tanzania) Limited.

	Group		Company	
	2023 KShs '000	2022 KShs '000	2023 KShs '000	2022 KShs '000
Legal charge on land and buildings	<u>3,109</u>	<u>3,109</u>	<u>1,687</u>	<u>1,687</u>
Specific debenture on machinery	600	600	600	600
Debenture over all assets	<u>1,700</u>	<u>1,700</u>	<u>1,700</u>	<u>1,700</u>
Total value of debentures	<u>2,300</u>	<u>2,300</u>	<u>2,300</u>	<u>2,300</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

20. RETIREMENT BENEFITS OBLIGATIONS

The Group and Company operate a Gratuity arrangement for its unionisable employees. The Gratuity arrangement is provided under a Collective Bargaining Agreement which is signed every two years.

The benefits in the Memorandum of agreement are defined on retirement and death. The Gratuity arrangement is defined benefit in nature with benefits linked to past service and salary at time of exit. Generally, on retirement, the benefit provided to employees for service from 1 to 5 years is 16 days pay for each completed year of service, for service from 6 to 10 years 20 days pay for each year of service and for service over 10 years 23 days' pay for each year of service.

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Opening benefit obligation	40,553	42,092	23,424	25,389
Current service cost net of employees' contributions - charged to profit or loss	2,148	2,361	1,189	1,431
Interest cost charged to profit or loss	5,449	5,198	3,281	3,204
Actuarial loss/(gain) charged to other comprehensive income	(9,864)	(8,817)	(5,740)	(5,689)
Benefits and expenses paid	(312)	(1,581)	(312)	(929)
Past service cost	31		31	18
Translation losses/(gains)	<u>3,037</u>	<u>1,300</u>	<u>-</u>	<u>-</u>
Closing benefit obligation	<u>41,042</u>	<u>40,553</u>	<u>21,873</u>	<u>23,424</u>

The principal actuarial assumptions used in determining service gratuity obligations for the company are shown below:

	Kenya		Tanzania	
Actuarial assumptions	2023	2022	2023	2022
Discount rate (% p.a.)	16.00%	13.75%	11.25%	10.50%
Future salary increases (% p.a.)	10.00%	10.00%	10.00%	10.00%
Mortality Assumptions – Males	KE 2001-2003 Males	KE 2001-2003 Males	TZ 2001-2003 Males	TZ 2001-2003 Males
Mortality Assumptions – Females	KE 2001-2003 Females	KE 2001-2003 Females	TZ 2001-2003 Females	TZ 2001-2003 Females
Weighted average duration of defined benefit obligation	7.9	9.1	9.05	9.0

Sensitivity of the results

The results of actuarial valuation will be more sensitive to changes in financial assumption than changes in the demographic assumptions. In preparing the sensitivity analysis of the results to the discount rate used, the actuaries have relied on the calculations of the duration of the liability.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

20. RETIREMENT BENEFITS OBLIGATIONS (Continued)

Sensitivity of the results (continued)

A quantitative sensitivity analysis for significant assumptions as at 31 December 2023 is as shown below:

Group	Discount rate		Salary rate	
	1%	-1%	1%	-1%
	KShs '000	KShs '000	KShs '000	KShs '000
Net liability at start of the period	40,553	40,553	40,553	40,553
Net expense recognised in the profit or loss	7,628	7,628	7,628	7,628
Net expense recognised in the other comprehensive income	(12,827)	(6,501)	(6,418)	(12,945)
Employer contributions	(312)	(312)	(312)	(312)
Net liability at end of the period	<u>35,042</u>	<u>41,368</u>	<u>41,451</u>	<u>34,924</u>

Company	Discount rate		Salary rate	
	1%	-1%	1%	-1%
	KShs '000	KShs '000	KShs '000	KShs '000
Net liability at start of the period	23,424	23,424	23,424	23,424
Total Net expense recognized in the profit or loss	4,501	4,501	4,501	4,501
Net expense recognized in the other comprehensive income	(7,196)	(4,098)	(4,019)	(7,285)
Employer contributions	(312)	(312)	(312)	(312)
Net liability at end of the period	<u>20,417</u>	<u>23,515</u>	<u>23,594</u>	<u>20,328</u>

Key Risks

The key risks associated with the Gratuity arrangement are as follows:

- The benefits are linked to salary and consequently have an associated risk to increases in salary.
- The benefits are defined as per the Memorandum of Agreement, normally effective for two years. Negotiations with the trade union could change these benefits and materially change the costs of the company.
- The Arrangement is unfunded with no separate assets. Investment risk would therefore not arise on the Arrangement.
- Benefits in the Arrangement are payable on retirement, death or redundancy. The actual cost to the Company of the benefits is therefore subject to the demographic movements of employees.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

21. DEFERRED TAX (ASSETS) / LIABILITIES

(a) Group

Movements in the deferred tax liabilities during the year are as follows:

	At 1 January KShs'000	Under / over provision in prior years KShs'000	Recognised through profit or loss KShs'000	Recognised through other comprehensive income KShs'000	Exchange difference KShs'000	Balance at 31 December KShs'000
2023:						
Staff gratuity provision	(12,167)	-	732	2,822	(741)	(9,354)
Other provisions and accruals	(349,205)	-	(114,157)	-	(24,619)	(487,981)
Tax losses	(389,985)	-	3,783	-	-	(386,202)
Property, plant & equipment	1,053,299	(40,555)	(38,463)	-	71,619	1,045,900
Revaluation of investment property	30,677	-	-	-	5,442	36,119
Unrealised exchange gain	35,229	-	33,416	-	(4,432)	64,213
	<u>367,848</u>	<u>(40,555)</u>	<u>(114,689)</u>	<u>2,822</u>	<u>47,269</u>	<u>262,695</u>
2022:						
Staff gratuity provision	(12,630)	-	(1,758)	2,645	(424)	(12,167)
Other provisions and accruals	(355,094)	-	15,996	-	(10,107)	(349,205)
Tax losses	(413,554)	-	23,569	-	-	(389,985)
Property, plant & equipment	1,071,987	-	(50,029)	1,908	29,433	1,053,299
Revaluation of asset held for sale	7,888	-	(7,888)	-	-	-
Revaluation of investment property	44,022	498	(16,228)	-	2,385	30,677
Unrealised exchange gain	(18,616)	-	58,560	-	(4,715)	35,229
	<u>324,003</u>	<u>498</u>	<u>22,222</u>	<u>4,553</u>	<u>16,572</u>	<u>367,848</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

21. DEFERRED TAX (ASSETS) / LIABILITIES (Continued)

(b) Company

Movements during the year are as follows:

	Balance at 1 January KShs'000	Prior year overprovision KShs'000	Recognise through profit or loss KShs'000	Recognised through other comprehensive income KShs'000	Balance at 31 December KShs'000
2023:					
Staff gratuity provision	(7,027)	-	464	1,722	(4,841)
Other provisions and accruals	(302,543)	-	(119,656)	-	(422,199)
Tax loss	(389,985)	-	3,783	-	(386,202)
Unrealised exchange gain	23,083	-	4,089	-	27,172
Property, plant and equipment	641,602	(40,555)	(27,175)	-	573,872
	<u>(34,870)</u>	<u>(40,555)</u>	<u>(138,495)</u>	<u>1,722</u>	<u>(212,198)</u>

	Balance at 1 January KShs'000	Recognise through profit or loss KShs'000	Recognised through other comprehensive income KShs'000	Balance at 31 December KShs'000
2022:				
Staff gratuity provision	(7,617)	(1,117)	1,707	(7,027)
Other provisions and accruals	(322,358)	19,815	-	(302,543)
Tax loss	(413,554)	23,569	-	(389,985)
Unrealised exchange gain	2,691	20,392	-	23,083
Property, plant and equipment	680,099	(35,155)	(3,342)	641,602
Revaluation on asset held for sale	7,888	(7,888)	-	-
	<u>(52,851)</u>	<u>19,616</u>	<u>(1,635)</u>	<u>(34,870)</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

21. DEFERRED TAX LIABILITIES (Continued)

Deferred tax asset amounting to KShs 430,557,534 (2022 : KShs 354,086,866) arising from the subsidiary has not been recognised in these financial statements as the directors are of the opinion that the asset will not be utilised in the foreseeable future. The movement of the unrecognised deferred tax asset was KShs 76,470,668 in the year to 31 December 2023.

22. TRADE AND OTHER PAYABLES

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Trade payables	438,523	271,704	214,694	158,056
Due to other related parties (Note 24 (d))	246,039	236,030	227,846	223,485
Other payables and accrued expenses	<u>763,284</u>	<u>620,181</u>	<u>168,811</u>	<u>170,712</u>
	<u>1,447,846</u>	<u>1,127,915</u>	<u>611,351</u>	<u>552,253</u>

23. DIVIDEND PAYABLE

The movement in the dividend payable account is as follows:

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
At beginning of year	5,125	5,501	5,125	5,501
Paid during the year	<u>(252)</u>	<u>(376)</u>	<u>(252)</u>	<u>(376)</u>
At end of year	<u>4,873</u>	<u>5,125</u>	<u>4,873</u>	<u>5,125</u>

No dividend was paid to related parties in the year (2022 – KShs Nil).

24. RELATED PARTY TRANSACTIONS

The following transactions were carried out with related parties:

(a) Directors and executive officers

The total remuneration of directors and executive officers is as follows:

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Directors' emoluments				
— Non-executive directors fees	16,749	16,416	12,000	12,000
— Sitting allowances	3,245	6,303	3,120	4,400
— Executive director's remuneration	27,164	26,477	27,164	26,477
Senior managements' remuneration	<u>76,850</u>	<u>70,035</u>	<u>47,459</u>	<u>44,074</u>
	<u>124,008</u>	<u>119,231</u>	<u>89,743</u>	<u>86,951</u>

(b) Amounts due from the directors

No amounts were due from the directors at close of the year (2022 – Nil).

The terms and conditions of the transactions with key management personnel were no more favourable than those available, or which might reasonably be expected to be available, on similar transactions to non-key management personnel related entities.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

24.

RELATED PARTY TRANSACTIONS (Continued)

(c) Due from related parties

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
<i>(i) Owed by subsidiaries</i>				
East African Cables (Tz) Ltd	-	-	671,598	621,572
Less: Expected credit losses	-	-	(522,448)	(161,022)
	<u>-</u>	<u>-</u>	<u>149,150</u>	<u>460,550</u>
<i>(ii) Owed by other related parties</i>				
Kewberg Cables & Braids (Pty)	-	44,423	-	44,423
Cableries Du Congo	137	137	137	137
Civicon Limited	4,089	4,089	4,089	4,089
AEA Limited	3,768	3,768	3,768	3,768
Tanelec Limited	<u>5,185</u>	<u>6,064</u>	<u>5,185</u>	<u>6,064</u>
	13,179	58,481	13,179	58,481
Less: Expected credit losses	<u>(5,375)</u>	<u>(49,903)</u>	<u>(5,375)</u>	<u>(49,903)</u>
	<u>7,804</u>	<u>8,578</u>	<u>7,804</u>	<u>8,578</u>

(d) Amounts due to related parties

	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
<i>Owed to other related parties</i>				
AEA Limited	43	37	-	-
Tanelec Limited	18,150	12,508	-	-
TransCentury PLC	<u>227,846</u>	<u>223,485</u>	<u>227,846</u>	<u>223,485</u>
	<u>246,039</u>	<u>236,030</u>	<u>227,846</u>	<u>223,485</u>

All entities mentioned in (c) and (d) above have common ownership with the Group. All outstanding balances with these related parties are priced on the same terms and conditions as those entered into by other Group employees or customers. None of the balances is secured.

	2023	2022
	KShs'000	KShs'000
(e) Shareholders loan		
Group and Company:		
Balance at 1 January	723,832	642,487
Accrued interest	77,579	45,549
Exchange loss	<u>66,469</u>	<u>35,796</u>
Balance at 31 December	<u>867,880</u>	<u>723,832</u>

On 22 April 2014, the company received an unsecured loan of USD 4 million from TransCentury Plc at an interest rate of 11% per annum. During the year, the loan was converted to KShs at an interest rate of 6-month Libor plus 8% per annum. The loan is subordinated to bank borrowings. It is revalued from USD to KShs at the closing rates at the end of each reporting date. The loan is repayable after the existing bank borrowings are fully settled.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

25. NOTES TO THE STATEMENT OF CASH FLOWS

(a) Reconciliation of loss before tax to cash flow from operating activities

	Group 2023	2022	Company 2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Loss before tax	(454,931)	(319,906)	(728,543)	(146,403)
Adjustments for:				
Depreciation for property, plant and equipment (Note 11)	133,484	150,556	104,388	122,062
Amortisation for right-of-use assets (Note 12)	60,901	71,695	43,875	43,451
Gain/loss on revaluation	-	74,736	83,745	74,736
Fair value loss/(gain) on revaluation of investment property	-	3,668	-	3,668
Interest expense (Note 7)	337,034	351,141	269,114	288,262
Net foreign currency changes	(133,796)	(103,032)	-	-
Increase in provision for staff gratuity	<u>7,597</u>	<u>7,559</u>	<u>4,470</u>	<u>4,635</u>
Operating (loss)/profit before working capital changes	(49,711)	236,417	(222,951)	390,411
(Increase)/decrease in inventories	(93,345)	28,147	(86,904)	14,051
Decrease/(increase) in trade and other receivables	54,256	(104,846)	351,005	(163,222)
(Decrease)/ increase in trade and other payables	<u>319,933</u>	<u>(73,476)</u>	<u>125,153</u>	<u>(134,960)</u>
Cash generated from operations	<u>231,133</u>	<u>86,242</u>	<u>166,303</u>	<u>106,280</u>

(b) Cash and cash equivalents at 31 December

Group	2023 KShs '000	2022 KShs '000	Change in year KShs '000
Bank balances	<u>105,259</u>	<u>129,221</u>	<u>(23,962)</u>
Cash and cash equivalents	<u>105,259</u>	<u>129,221</u>	<u>(23,962)</u>
Company	2023 KShs '000	2022 KShs '000	Change in year KShs '000
Bank balances	<u>33,524</u>	<u>39,249</u>	<u>(5,725)</u>
Cash and cash equivalents	<u>33,524</u>	<u>39,249</u>	<u>(5,725)</u>

26. CONTINGENT LIABILITIES

Guarantees with the bankers amounted to KShs 24 million as at 31 December 2023 (2022 – KShs 32 million).

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Overview

The Group and Company has exposure to the following risks from its use of financial instruments:

- (a) Credit risk;
- (b) Liquidity risk; and
- (c) Market risk.

This note presents information about the Group's and Company's exposure to each of the above risks, the Group's and Company's objectives, policies and processes for measuring and managing risk, and the Group's and Company's management of capital. Further quantitative disclosures are included throughout these consolidated financial statements.

The board of directors has overall responsibility for the establishment and oversight the Group's and Company's risk management framework. The finance department identifies, evaluates and addresses financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, and investing excess liquidity.

The Board of Directors oversees how management monitors compliance with the Group's and Company's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group and Company.

(a) Credit risk

Credit risk is the risk of financial loss to the Group and Company if a customer or counterparty to a financial instrument fails to meet its contractual obligations and arises principally from the Group's and Company's receivables from customers and investment securities.

Trade and other receivables

The Group's and Company's exposure to credit risk is influenced mainly by the individual characteristics of each customer. The demographics of the Group's and Company's customer base, including the default risk of the industry and country in which customers operate, has less of an influence on credit risk.

The Group and Company has established a credit policy under which each new customer is analysed individually for creditworthiness before the Group's and Company's standard payment and delivery terms and conditions are offered. Customers that fail to meet the Group's and Company's benchmark creditworthiness may transact with the Group only on a prepayment basis.

The Group and Company has a stringent debt provisioning policy that represents its estimate of incurred losses in respect of trade and other receivables and investments. The main component of this allowance specific loss component that relates to individually significant exposures.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (continued)

The Group and Company also manages the level of credit risk by focusing on customer satisfaction as a key performance indicator. It also maintains a short credit period. Due to the nature of the Group's and Company's activities, credit risk concentrations are high due to reliance on some customers and as such close monitoring of credit relationships is carried out.

The carrying amount of financial assets represents the maximum exposure to credit risk. The maximum exposure to credit risk at the reporting date was:

	Carrying amount			
	Group		Company	
	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
Trade receivables	323,581	396,722	286,222	344,649
Due from subsidiaries	-	-	149,150	460,550
Due from related parties	7,804	8,578	7,804	8,578
Bank balances	<u>105,259</u>	<u>129,221</u>	<u>33,524</u>	<u>39,249</u>
	<u>436,644</u>	<u>534,521</u>	<u>476,700</u>	<u>853,026</u>

Short term deposits

The Group and Company's limits its exposure to credit risk by only investing in short term deposits in money market.

Expected credit loss (ECL) assessment as at 1 January and 31 December 2023

The Group and Company use a provision matrix to measure the ECL based on a factor of the following:

- Probability of default
- Exposure at default, and
- The loss given default.

The probability of default is based on 12-month flow rates with an adjustment for forward looking information.

The following table provides information about the exposure to credit risk and ECLs for trade receivables as at 31 December 2023.

(i) Trade receivables

	Group		Company	
	2023	2022	2023	2022
	KShs 000	KShs 000	KShs 000	KShs 000
Due from government institutions	154,485	71,268	131,604	51,833
Not past due	125,248	173,450	104,423	135,136
Past due 30-90 Days	22,140	159,515	22,140	158,033
Past due 91-365 Days	112,738	42,923	113,329	37,635
More than a year	<u>872,559</u>	<u>827,100</u>	<u>622,141</u>	<u>603,380</u>
Gross trade receivables	1,287,170	1,274,256	993,637	986,017
Loss allowance	<u>(963,589)</u>	<u>(877,534)</u>	<u>(707,415)</u>	<u>(641,368)</u>
Net trade receivables	<u>323,581</u>	<u>396,722</u>	<u>286,222</u>	<u>344,649</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(a) Credit risk (continued)

(i) Trade receivables

Loss rates are based on actual credit loss experience over the past 60 months, current conditions plus the Group's view of economic conditions such as inflation, commercial bank interest rates and growth in the economy's gross domestic product.

(ii) Intercompany receivables

For Group and Company, the calculated ECL for intercompany balances, which represents the probability of default was 79%, which considers historical experience over the last 12 months, current conditions, exchange rates and country risk. These rates were applied to the gross outstanding amount and resulted in a loss allowance of KShs 5,375,318 and KShs 361,425,616 for the Group and Company respectively for the year ended 31 December 2023.

	Group		Company	
	2023	2022	2023	2022
	KShs		KShs	KShs
	000	KShs 000	000	000
Related party receivables				
East African Cables (Tz)	-	-	671,598	621,572
Due from other related parties	<u>13,179</u>	<u>58,481</u>	<u>13,179</u>	<u>13,179</u>
Gross owed by related parties	13,179	58,481	684,777	680,053
Loss allowance	<u>(5,375)</u>	<u>(49,903)</u>	<u>(527,823)</u>	<u>(527,823)</u>
Net receivables owed by related parties	<u>7,804</u>	<u>8,578</u>	<u>156,954</u>	<u>469,128</u>

(iii) Cash and cash equivalents

The Group and company held cash and bank balances of KShs 105,259,000 and KShs 33,524,000 respectively (2022: Group - KShs 129,221,000 and Company KShs 39,249,000). The cash and bank balances are held with banks and financial institution counterparties, which are rated between A1 to B2, based on GCR, S&P and Moody's ratings.

Impairment on cash and cash equivalents has been measured on a 12-month expected credit loss basis and reflects the short maturities of the exposures. The Group considers that its cash and cash equivalents have low credit risk based on the external credit ratings of the counterparties. A write-back amounting to KShs 419,000 was recorded in the year.

(b) Liquidity risk

Liquidity risk is the risk that the Group and Company will not be able to meet their financial obligations as they fall due. The Group's and Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Group's and Company's reputation.

Typically, the Group and Company ensures that it has sufficient cash on demand to meet expected operational expenses for a period of 60 days, including the servicing of financial obligations; this excludes the potential impact of extreme circumstances that cannot reasonably be predicted, such as natural disasters.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(b) Liquidity risk (continued)

The maturities of the Group's and Company's financial liabilities are shown below:

Group

31 December 2023	Due within 3 months	Due between 3-12 months	Due between 1-5 years	Due after 5 years	Total
Financial liabilities	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Loans and borrowings	1,709,047	38,447	644,770	20,271	2,412,535
Shareholder loan	-	-	-	867,880	867,880
Trade and other payables	1,201,807	-	-	-	1,201,807
Due to related parties	246,039	-	-	-	246,039
At 31 December 2023	3,156,893	38,447	644,770	888,151	4,728,261
31 December 2022					
Financial liabilities					
Loans and borrowings	880,571	187,614	996,307	318,927	2,383,419
Shareholder loan	-	-	-	723,832	723,832
Trade and other payables	891,885	-	-	-	891,885
Due to related parties	236,030	-	-	-	236,030
At 31 December 2022	2,008,486	187,614	996,307	1,042,759	4,235,166

Company

31 December 2023	Due within 3 months	Due between 3-12 months	Due between 1-5 years	Due after 5 years	Total
Financial liabilities	KShs'000	KShs'000	KShs'000	KShs'000	KShs'000
Loans and borrowings	1,464,404	38,447	301,477	20,271	1,824,599
Shareholder loan	-	-	-	867,880	867,880
Trade and other payables	383,505	-	-	-	383,505
Due to related parties	227,846	-	-	-	227,846
31 December 2023	2,075,755	38,447	301,477	888,151	3,303,830
At 31 December 2022					
Financial liabilities					
Loans and borrowings	504,954	155,455	888,974	318,927	1,868,310
Shareholder loan	-	-	-	723,832	723,832
Trade and other payables	328,768	-	-	-	328,768
Due to related parties	223,485	-	-	-	223,485
31 December 2022	1,057,207	155,455	888,974	1,042,759	3,144,395

Until June 2023, the Group and Company maintained KShs 170 million (2022 - KShs 170 million) letter of credit facility for importation of raw materials. The line of credit was being utilised in issuance of letters of credit to suppliers of critical raw materials.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk

Market risk is the risk that changes in market prices, such as foreign exchange rates and interest rates will affect the Group's and Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimising the return on risk.

(i) Interest rate risk

The Group's and Company's operations are subject to the risk of interest rate fluctuations to the extent that interest earning assets (including investments) and interest-bearing liabilities mature or reprice at different times or in differing amounts. Risk management activities are aimed at optimizing net interest income, given market interest rates levels consistent with the group's and company's business strategies.

The table below summarises the exposure to interest rate risks. Included in the table below are the Group's and Company's assets and liabilities at carrying amounts, categorized by the earlier of contractual reprising or maturity dates:

Group

	Average effective interest rate	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs '000	Due after 5 years KShs '000	Non-interest bearing KShs '000	Total KShs '000
At 31 December 2023							
Bank loans and borrowings	13%	1,709,047	38,447	644,770	20,271	-	2,412,535
Shareholder loan	11%	-	-	-	867,880	-	867,880
		1,709,047	38,447	644,770	888,151	-	3,280,415
At 31 December 2022							
Bank loans and borrowings	13%	880,571	187,614	996,307	318,927	-	2,383,419
Shareholder loan	11%	-	-	-	723,832	-	723,832
		880,571	187,614	996,307	1,042,759	-	3,107,251

Company

	Average effective interest rate	Due within 3 months KShs '000	Due between 3 and 12 months KShs '000	Due between 1 and 5 years KShs '000	Due after 5 years KShs '000	Non-interest bearing KShs '000	Total KShs '000
At 31 December 2023							
Bank loans and borrowings	13%	1,464,404	38,447	301,477	20,271	-	1,824,599
Shareholder loan	11%	-	-	-	867,880	-	867,880
		1,464,404	38,447	301,477	888,151	-	2,692,479
At 31 December 2022							
Bank loans and borrowings	13%	504,954	155,455	888,974	318,927	-	1,868,310
Shareholder loan	11%	-	-	-	723,832	-	723,832
		504,954	155,455	888,974	1,042,759	-	2,592,142

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(c) Market risk (continued)

(ii) Currency risk

The Group and Company is exposed to currency risk through transactions in foreign currencies. Foreign currency gains and losses are recognised in profit or loss.

In respect of monetary assets and liabilities in foreign currencies, the company ensures that its net exposure is kept to an acceptable level by buying foreign currencies at spot rates to enable the company to meet its obligations.

The Group's and Company's exposure to currency risk mainly arises from transactions denominated in US Dollar.

The Group's and Company's exposure to foreign currency risk was as follows based on notional amounts in US dollars:

	Group		Company	
	2023	2022	2023	2022
	KShs 000	KShs 000	KShs 000	KShs 000
Financial assets				
Cash and bank balances	2,055	10,261	1,890	10,131
Trade receivables	<u>182,985</u>	<u>2,622</u>	<u>182,985</u>	<u>2,622</u>
	<u>185,040</u>	<u>12,883</u>	<u>184,875</u>	<u>12,753</u>
Financial liabilities				
Shareholders loan	-	(723,832)	-	(723,832)
Trade payables	<u>(230,347)</u>	<u>(224,596)</u>	<u>(156,670)</u>	<u>(104,674)</u>
	<u>(230,347)</u>	<u>(948,428)</u>	<u>(156,670)</u>	<u>(828,506)</u>
Net exposure	<u>(45,307)</u>	<u>(935,545)</u>	<u>28,205</u>	<u>(815,753)</u>

The following significant exchange rates applied during the year:

	Closing rate		Average rate	
	2023	2022	2023	2022
	KShs	KShs	KShs	KShs
USD	<u>156.46</u>	<u>123.37</u>	<u>141.21</u>	<u>118.28</u>

Sensitivity analysis

A 10 percent strengthening/weakening of the Kenya shilling against the following currencies would have increased profit or loss by amounts shown below. This analysis assumes that all other variables, in particular interest rates, remain constant. The analysis is performed on the same basis for 2021:

	Profit or loss		Company	
	Group	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000
At 31 December	<u>4,531</u>	<u>93,555</u>	<u>2,821</u>	<u>81,575</u>

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

27. FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

(d) Capital risk management

The group's and company's objectives when managing capital are to safeguard the group's and company's ability to continue as a going concern in order to provide returns for shareholders and the benefits for other stakeholders and to maintain an optimal capital structure to reduce the cost of capital.

The Board's policy is to maintain a strong capital base so as to maintain creditor and market confidence and to sustain future development of the business. The Board of Directors monitors the return on capital and the level of dividend pay-out to its shareholders.

The group and company monitor capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including current and non-current borrowings) less cash and cash equivalents. Total capital is calculated as equity as shown in the consolidated and separate statement of financial position plus net debt. The gearing ratio at end of the reporting period was as follows:

	Group		Company	
	2023	2022	2023	2022
	KShs 000	KShs 000	KShs 000	KShs 000
Borrowings:				
Bank loans	2,412,535	2,383,419	1,824,599	1,868,310
Shareholders loan	867,880	723,832	867,880	723,832
Cash and bank balances	(105,259)	(129,221)	(33,524)	(39,249)
Net debt	<u>3,175,156</u>	<u>2,978,030</u>	<u>2,658,955</u>	<u>2,552,893</u>
Total equity	<u>366,446</u>	<u>709,402</u>	<u>404,260</u>	<u>950,848</u>
Gearing ratio	<u>866%</u>	<u>420%</u>	<u>658%</u>	<u>268%</u>

28. ULTIMATE HOLDING COMPANY

The ultimate holding company is Trans-Century Plc, a company incorporated in Kenya.

EAST AFRICAN CABLES PLC

NOTES TO THE CONSOLIDATED AND SEPARATE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2023 (CONTINUED)

29. EVENTS AFTER REPORTING DATE

No material events or circumstances have arisen between the accounting date and the date of this report.

30. SEGMENTAL REPORTING

Management has determined the operating segments based on the reports reviewed by the Strategy committee. The committee considers the business from a geographical perspective. This committee has the primary responsibility of overseeing implementation of strategic decisions of the board including product and geographical diversification. Geographically, management considers the performance of the business in Kenya, Uganda and Tanzania. The reportable operating segments derive their revenues primarily from manufacture and sale of electric cables, conductors and traded products. The Strategy committee assesses the performance of the operating segments on a measure of profit/(loss) before tax.

	Kenya & Uganda		Tanzania		Consolidated	
	2023	2022	2023	2022	2023	2022
	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000	KShs '000
External sales	2,322,295	2,211,916	202,258	393,845	2,524,553	2,605,761
Inter-segment sales	-	-	-	-	-	-
Total sales	2,322,295	2,221,916	202,258	393,845	2,524,553	2,605,761
Segment (loss)/profit from operations	(484,661)	105,529	(172,194)	(130,341)	(211,684)	(24,812)
Net finance (costs)/income	(243,882)	(251,932)	637	(43,162)	(243,247)	(295,094)
(Loss)/profit before tax	(728,543)	(146,403)	(171,557)	(173,503)	(454,931)	(319,906)
Other information:						
Segment assets	3,743,301	4,123,792	1,812,932	1,244,191	5,408,291	5,358,094
Segment liabilities	3,339,041	3,172,944	1,701,595	1,331,958	5,041,845	4,648,692
Capital expenditure	1,982	622	1,931	4,097	3,913	4,719
Depreciation expense & amortisation	148,263	165,513	46,122	56,738	194,385	222,251

Segment capital expenditure is the total cost incurred during the period to acquire segment assets that are expected to be used for more than one period. Segment revenue is based on the geographical location of both customers and assets. Sales between segments are carried out at arm's length. The revenue from external parties reported to the Strategy committee is measured in a manner consistent with that in the income statement. There is no reliance on individually significant customers by the group. The amounts provided to the Strategy committee in respect of total assets and total liabilities are measured in a manner consistent with that of the financial statements.

EAST AFRICAN CABLES PLC

FIVE YEAR CONSOLIDATED FINANCIAL RECORD

A STATEMENT OF COMPREHENSIVE INCOME SUMMARY

	2019	2020	2021	2022	2023
	Consolidated KShs'000	Consolidated KShs'000	Consolidated KShs'000	Consolidated KShs'000	Consolidated KShs'000
Sales	1,585,203	1,800,061	1,848,083	2,605,761	2,524,553
(Loss)/profit before tax	658,695	(555,065)	(410,316)	(319,906)	(454,931)
Tax credit/(expense)	(27,723)	(198,157)	110,599	(25,367)	153,054
(Loss)/profit after tax	630,972	(753,222)	(299,717)	(345,273)	(301,877)
Non-controlling interest	47,511	209,015	33,465	87,017	96,256
(Loss)/profit attributable to parent company shareholders	678,483	(544,207)	(266,252)	(258,256)	(205,621)
Dividends	-	-	-	-	-
Retained (loss)/profit	678,483	(544,207)	(266,252)	(258,256)	(205,621)
Earnings per share (KShs)	2.68	(2.15)	(1.05)	(1.02)	(0.81)
Dividend per share (KShs)	-	-	-	-	-

B STATEMENT OF FINANCIAL POSITION

Non-current assets	5,020,678	4,832,425	4,623,554	4,401,492	4,496,285
Current assets	1,254,199	1,099,957	956,512	956,602	912,006
TOTAL ASSETS	6,274,877	5,932,382	5,580,066	5,358,094	5,408,291
Equity and liabilities					
Share capital	126,563	126,563	126,563	126,563	126,563
Reserves and share premium	1,845,421	1,300,854	1,038,390	763,100	562,969
Exchange differences	(118,410)	(111,065)	(93,863)	(123,724)	(149,702)
Non-controlling interest	275,930	76,219	27,800	(56,537)	(173,384)
Total equity	2,129,504	1,392,571	1,098,890	709,402	366,446
Non-current liabilities	2,397,642	3,013,832	2,772,984	2,447,462	1,492,250
Current liabilities	1,747,731	1,525,979	1,708,192	2,201,230	3,549,595
TOTAL EQUITY AND LIABILITIES	6,274,877	5,932,382	5,580,066	5,358,094	5,408,291

